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France Economics, Macro & Equity Strategy | Europe

A Comprehensive Framework Ahead of French Elections

France faces a challenging 12 months with the budget season, presidential election (18 April and 2 May 2027) and perhaps snap parliamentary elections around mid-June 2027. So, we see policy uncertainty remaining elevated for a while. We explore potential implications across economics, equities and macro strategy.

Economics | 2027 elections overview: We highlight that polls can change materially in the final weeks before a French presidential vote and, in 2022, key candidates published their manifestos only close to the election. It is therefore too early to draw any conclusions about the outcome of the next presidential election. That said, we believe the degree of fragmentation on the centre-right is likely to be a key determinant of the first-round outcome. After June 2027, parliamentary arithmetic will determine policy outcomes. Based on the current composition of the national assembly, an outright majority for the next President appears unlikely. Instead, the next Government could face a hung parliament or need to rely on a coalition, with the marginal coalition partner likely to play a pivotal role.

2027 fiscal outlook and beyond: Passing the 2027 Budget Law this autumn will be challenging. We change our baseline and now think it can be adopted if opposition parties conclude that having a budget in place would allow them to implement their own priorities more rapidly after the elections, including through amendments during the summer of 2027. We do not expect this budget to deliver large fiscal consolidation (stable deficit at 5.2% of GDP) and assume the "temporary" surcharge on corporate taxes to remain in that scenario. In the absence of a budget, we think the deficit could increase to 5.9% of GDP next year. Looking further ahead, rising fiscal constraints and a fragmented political landscape suggest limited scope for a meaningful change in France's fiscal trajectory after 2027. Manifestos available so far point to support across a significant part of the political spectrum for repealing the 2023 pension and for higher taxation.

Equity Strategy | All about those tax risks: Our analysis of 90+ presidential elections suggests that French elections should start to get priced 4-6 months before the event, e.g. from about November, during the budget process. From this point, we expect French equities to trade with increased overhang as investors avoid positioning into a period of headline risk around new corporate tax proposals and elevated OAT spreads. Our economist expects the corporate tax surcharge to be extended for a third year into 2027 during the budget process, which is partially priced in, albeit less so for globally oriented stocks. Risks should rise further as parties elaborate on additional corporate tax proposals in the spring – we review the taxes on dividends, buybacks, and revenue-profit mismatches that have been proposed previously. Adding to this, equities tend to see rising OAT spread inverse

MORGAN STANLEY EUROPE S.E.+

Jean-Francois Ouvrard
Deputy Chief European Economist
Jean-Francois.Ouvrard@morganstanley.com +49 69-21662813

Jens Eisenschmidt
Chief Europe Economist
Jens.Eisenschmidt@morganstanley.com +49 69-21662817

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Marina Zavolock
Equity Strategist
Marina.Zavolock@morganstanley.com +44 20 7425-2318

Regiane Yamanari
Equity Strategist
Regiane.Yamanari@morganstanley.com +44 20 7677-4652

Luca Salford
Strategist
Luca.Salford@morganstanley.com +44 20 7677-1337

Maria Chiara Russo
Strategist
Maria.Chiara.Russo@morganstanley.com +44 20 7677-3499

Jasper Knyphausen
Strategist
Jasper.Knyphausen@morganstanley.com +44 20 7425-2185

David S. Adams, CFA
Strategist
David.S.Adams@morganstanley.com +44 20 7425-3518

Aron Becker
Strategist
Aron.Becker@morganstanley.com +44 20 7677-0754

Jonathan Loke
Strategist
Jonathan.Loke1@morganstanley.com +44 20 7677-3136

Giulia Aurora Miotto, CFA
Equity Analyst
Giulia.Aurora.Miotto@morganstanley.com +44 20 7425-5344

MORGAN STANLEY EUROPE S.E., PARIS BRANCH+

Arthur Sitbon, CFA
Equity Analyst
Arthur.Sitbon@morganstanley.com +33 1 42 90 71-03

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Nicolas J Mora
Equity Analyst
Nicolas.Mora@morganstanley.com +44 20 7677-5376

Ellie Dann
Strategist
Ellie.Dann@morganstanley.com +44 20 7425-2599

correlations in periods of political uncertainty. All in, we include a combined screen of stocks that may be most exposed to election-related policy uncertainty (Exhibit 21), and note exposure across much of the index (both domestic and global stocks).

Rates Strategy | Further modest underperformance ahead: We expect French bonds to underperform peers in coming months. The underperformance since 2024 is attributable to a relative macro deterioration; and we believe uncertainty on political outcomes and policy implementation will also contribute going forward. We do not expect large underperformance, however, given still-buoyant risk appetite globally and French bonds already screening cheap in our fair value models, an indication that political uncertainty is partly priced in already.

Credit Strategy | Sovereign spillover underpriced: French corporate credit has not kept pace with the recent widening in OATs, leaving corporate-sovereign yield differentials near decade tights and French risk premia in CDS subdued. We expect historical correlations to reassert themselves, with banks particularly exposed given their higher beta to sovereign spreads and ratings sensitivity. We maintain our preference for buying protection on French bank CDS versus selling protection on iTraxx Senior Financials.

FX Strategy | Hedge political risks with short EUR vs CHF, SEK: EUR may shift from flyer to funder heading into 2027 as investors price in more EUR-negative risk premium associated with the French presidential election, and the ECB shifts from hiking to cutting rates. A basket of CHF and SEK longs vs EUR helps hedge for these two risks while reducing macro exposure to risk assets and oil.

Equity Sector Views | We think French **Banks** remain vulnerable to political headlines. Key things to look out for are potential taxes on dividends, and in particular buybacks. Separately, we flag that RN is less in favour of the Capital Markets & Banking Union, hence an RN majority could further slow this European project. All in, we have no French banks among our Top Picks, although SocGen is our only Overweight, as we continue to see upside in the strong idiosyncratic story. In **Utilities**, while we see limited fundamental risks arising from the 2027 presidential elections for Veolia (owing to the nature of its activities), and manageable risk for Engie (except in an RN or LFI absolute majority scenario, which could lead to further control on energy prices), we acknowledge a risk to sentiment and positioning post summer. In **Luxury**, LVMH, Hermès (~6% EPS downside), Kering and Richemont are exposed to changes to French corporate tax rates. Current consensus does not incorporate the French tax surcharge post 2026 for LVMH or Hermès. We adjusted our tax rate assumption for LVMH yesterday (here) and adjust the tax rate for Hermès.

MORGAN STANLEY INDIA COMPANY PRIVATE LIMITED+
Yagyesh Modi
Strategist
Yagyesh.Modi@morganstanley.com +91 22 6995-2808

MORGAN STANLEY & CO. INTERNATIONAL PLC+
Ned Tidmarsh
Research Associate
Ned.Tidmarsh@morganstanley.com +44 20 7425-0122

Natasha Bonnet
Equity Analyst
Natasha.Bonnet@morganstanley.com +44 20 7677-5723

Edouard Aubin
Equity Analyst
Edouard.Aubin@morganstanley.com +44 20 7425-3160

Leoni Externest, CFA
Equity Strategist
Leoni.Externest@morganstanley.com +44 20 7425-2681

Emily A Woods
Equity Strategist
Emily.Woods@morganstanley.com +44 20 7425-1597

France 2026-27: Key Events to Watch

Jean-Francois Ouvrard

A lot will happen in the next 12 months: The next 12 months in France will see a succession of events that are both critical for the country's trajectory and difficult to predict (Exhibit 1). We will keep an eye on the Senate elections in September (see box below), but the first key event is more likely to be the 2027 budget. The initial draft will be prepared by the Government between now and September, and Parliament will begin examining the bill in early October. This will be followed by the presidential elections, with the first round on 18 April and the second on 2 May. In our baseline scenario, snap parliamentary elections are then likely to follow around mid-June, meaning a new government would be fully operational only by the end of June or early July. In the remainder of this section, we summarise our views on these three key events, which we discuss in more detail in the subsequent sections.

Exhibit 1: France – Key dates to watch

	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Jul-27
2027 Budget		**7 Oct** (at the latest): Govt submits draft budget bills to parliament	**ca 26 Nov:** Deadline for parliament to adopt the social security budget	**ca 16 Dec:** Deadline for parliament to adopt the central govt budget **31 Dec:** Deadline for passing the budget or adopting a "special law"							
April-27 Presidential Election							**12 March:** Candidate filing deadline	**18 April:** First round of presidential election	**2 May:** 2nd round of presidential election **14 May:** New presidential term starts		
(Potentially) Snap parliementary elections (MS Baseline)									**Mid-May:** New president likely dissolves the national assembly	**Mid-June:** (likely) Parliamentary elections **End-June:** (likely) New PM and Government appointed	
Other	**27 Sept:** Senate partial elections										

Source: Le Monde, Morgan Stanley Research

2027 budget

Our baseline: A 2027 budget with limited fiscal consolidation: With a split parliament and elections around the corner, passing the budget will be challenging. We assume, however (see our detailed analysis below in Fiscal Outlook: 2027 and Beyond), that there is path for the Government to secure its adoption, essentially because, for all parties hoping to be in power after April, having a 2027 budget law already in place would provide a framework they could subsequently amend. We also highlight a plausible alternative scenario in which the Government implements the budget via ordinances if parliament fails to reach a decision (positive or negative) before December. Even assuming the budget is passed, we expect fiscal consolidation next year to be limited, with a deficit at 5.2% of GDP. Absent a budget, we think France's fiscal position would deteriorate significantly, with the deficit rising towards 5.9% of GDP next year.

Key things to watch: We expect to learn more about the draft budget prepared by the Government in the final weeks of August and early September. If the Government wishes to shorten parliamentary discussions, it could invoke Article 49.3 as early as October, which would likely trigger a vote of no confidence. Alternatively, if it opts to implement the budget via ordinances, this could only happen after the constitutional 70-day deadline has expired, i.e. from mid-December onwards.

Presidential elections in April

Our baseline: More clarity only in early 2027? The presidential election will be held on 18 April (first round) and 2 May 2027 (second round). President Macron's terms ends on 14 May and that is when the next President will take office, for a five-year term. The first round of the elections is likely to have 10+ candidates (12 in 2022 and 11 in 2017) and the top two candidates will then advance to a runoff held two weeks later. In the next section, we discuss the information available today, the main scenarios and the expected timeline.

Key things to watch: Our review of past elections suggests that patience is required before forming a more precise view on the potential outcome. This may only be possible a couple of weeks before the elections. We highlight, for instance, the very large gaps, in 2017 and 2022, between polling in January-February and the actual first-round results in April. We also note that, in 2022, key candidates (for instance, the two who qualified for the second round) released detailed information on their manifestos only a couple of weeks before the first round.

Snap parliamentary elections in June?

Our baseline: A fresh start: Following the snap parliamentary elections of June 2024, the mandate of MPs currently sitting in the national assembly runs until 2029. However, parliament is split and the next President, whoever that may be, is unlikely to secure a majority. In that context, observers (see here and here) expect that the new President will dissolve parliament. Under Article 12 of Constitution, dissolving the national assembly is indeed one of the President's constitutional powers and can be exercised at their discretion. Once the national assembly is dissolved, snap legislative elections must be held between 20 days and 40 later. Assuming the dissolution is pronounced as early as mid-May, this would imply elections around mid-June. We discuss potential scenarios in the next section and highlight the significant risk that these elections may still fail to deliver a majority to the president elected in April 2027.

Key things to watch: We would expect candidates to be explicit during the electoral campaign as to whether or not they intend to dissolve parliament. Whether the next president ultimately secures a majority will, however, depend on the political dynamics that unfold after April, which are difficult to anticipate from today's perspective.

Keep an eye on the Senate elections too, on 27 September 2026

Members of the Senate, the upper chamber of Parliament, are elected for a six-year terms through indirect elections. These are held every three years to renew approximately half of the Senate's 348 seats. The next election will be on 27 September 2026 and cover 178 seats. Senate elections generally receive less attention than National Assembly elections for several reasons.

First, voters do not cast ballots directly. Senators are elected by a college of around 162,000 "*grands électeurs*", comprising mainly municipal councillors and other local elected officials. As a result, Senate elections primarily reflect the balance of political power at the local level.

Second, the Senate cannot bring down the Government through a vote of no confidence, and, in the event of persistent disagreement between the two chambers of parliament, the National Assembly has the final say on most legislation. However, the Senate plays an active role in amending bills and scrutinising government action; and its approval is required for constitutional reforms.

From that perspective, the 2026 Senate elections are of interest. They will be the first nationwide political vote after the March 2026 municipal elections, and local changes are likely to be reflected in the composition of the upper chamber. Analysts (here) expect the centre-right and right to retain control of the Senate, but they also see a possibility that Rassemblement National (RN) wins enough seats to form its first ever Senate group, giving it greater institutional influence. Ultimately, the Senate elections will provide an early indication of the political landscape ahead of the 2027 presidential campaign, highlighting which parties have succeeded in maintaining or expanding their influence at the local level.

2027 Presidential Elections: What to Expect

Jean-Francois Ouvrard

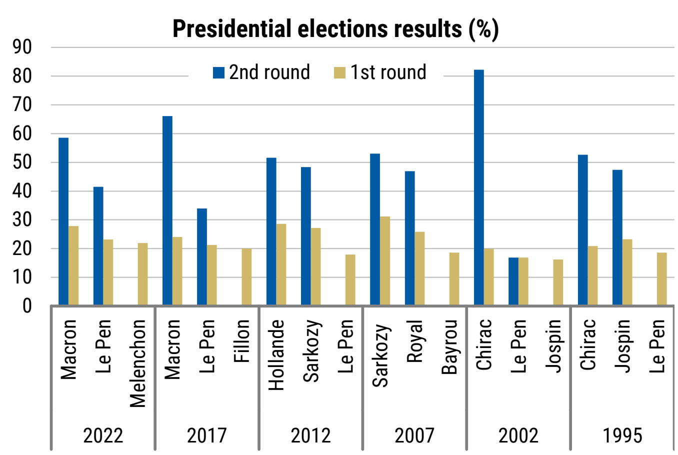
French presidential election: what you need to know

How does it work? The French presidential election is held over two rounds, scheduled next year on 18 April and 2 May. The first round is open to all candidates. The only requirement is to secure 500 endorsements from elected local officials by the constitutional deadline of 12 March 2027. The second round is a run-off between the two candidates who receive the most votes in the first round. President Macron's term then ends on 14 May, when the next President will take office.

How popular do you need to be? A two-rounds election has a specific dynamic, and there is a saying in French politics (see here for instance) that "In the first round voters choose, in the second round voters eliminate [the candidates they do not want]". Relatively modest vote shares in the first round are typically sufficient to qualify for the run-off, making the first round highly competitive (Exhibit 2). Over the past 30 years (six elections), the threshold for qualifying for the second round (i.e. the vote share of the candidate who finished third) has ranged between 16.2% (2002) and 22.0% (2022), with an average of 19%. And between 1995 and 2022, the elected President received, on average, 25% of the vote in the first round, while the candidate who went on to lose in the second round received, on average, 23%. In short, this is a close race.

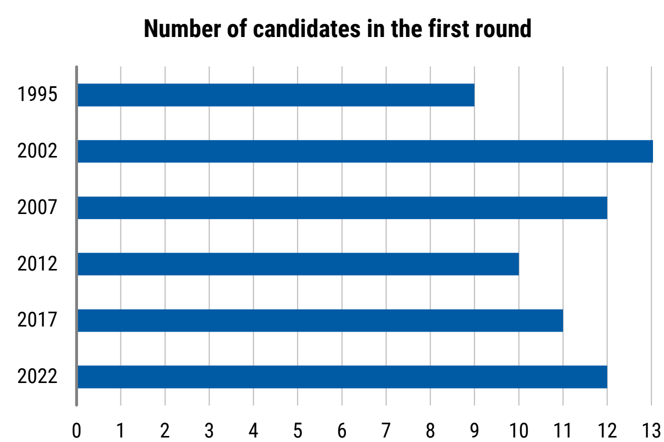
How many candidates will there be? The relatively low vote share required to qualify for the second round means that many contenders, even those currently polling relatively low, can still hope to build momentum and secure a place in the run-off. Against this backdrop, the list of potential candidates remains exceptionally long: *Le Monde* identifies more than 30 potential contenders (here). We would expect this list to narrow to around 10 candidates by the time nominations close, broadly in line with previous elections (Exhibit 3).

Exhibit 2: Since 1995, the bar for qualifying for the second round has stood >19% on average



Source: Ministry of Interior, Morgan Stanley Research. Note: the chart shows the candidates with the three highest score in the first round.

Exhibit 3: Since 1995, on average there have been 12 candidates in the first round

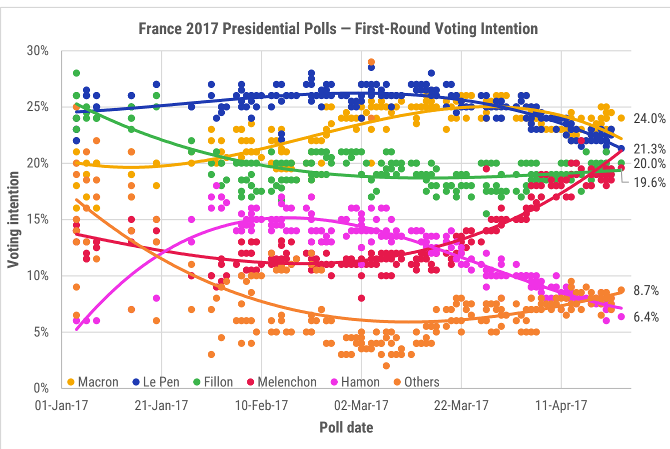


Source: Ministry of Interior, Morgan Stanley Research

Polls

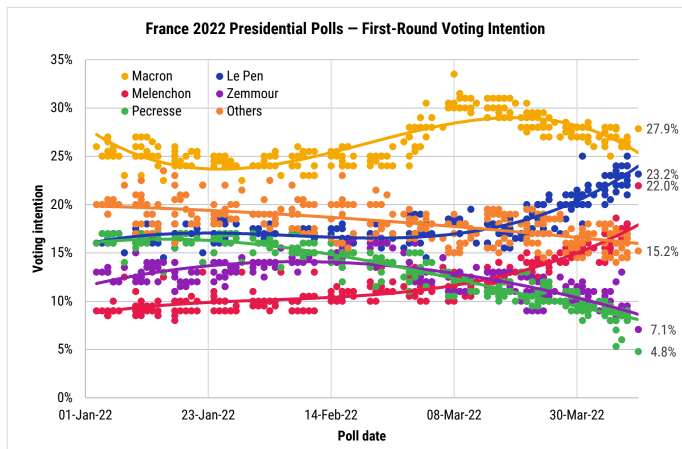
Nothing is done until it's done: Exhibit 4 and Exhibit 5 show polling trends during the 2017 and 2022 presidential elections, from January until the first round in April (23 April 2017 and 10 April 2022, respectively). They illustrate two key points: (i) voting intentions can shift significantly within just a few weeks, and (ii) polls can both underestimate and overestimate candidate outcomes, even very close to election day. In 2022, for instance, Mélenchon was polling below 10% in January but received 22% of the vote in the first round; conversely, Pécresse was polling at around 9% on average in April but received only 4.8% of the vote. In 2017, Mélenchon was polling only slightly above 10% in March before securing 19.6% of the vote in the first round; conversely, Le Pen was polling above 25% throughout most of February and March but ultimately received 21.3% of the vote in the first round.

Exhibit 4: A lot changed between January and April 2017...



Source: Ifop, Ipsos, BVA, Opinion Way, Harris Interactive, Cluster 17, Morgan Stanley Research. Note: We show the five candidates with the highest score in the first round of the elections on 23 April 2017 (as shown by the labels on the right). Lines show polynomial smoothing of polls across time.

Exhibit 5: ...and again between January and April 2022



Source: Ifop, Ipsos, BVA, Opinion Way, Harris Interactive, Cluster 17, Morgan Stanley Research. Note: We show the five candidates with the highest score in the first round of the elections on 10 April 2022 (as shown by the labels on the right). Lines show polynomial smoothing of polls across time.

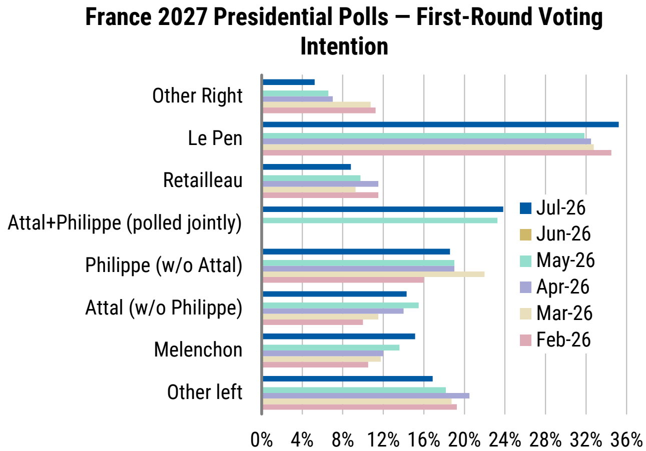
Polls ahead of the 2027 election | Where do we stand? That said, current polls (Exhibit 6 and Exhibit 7) point to three key developments to watch when assessing the likely outcome of the election:

(i) Marine Le Pen is currently polling between 30% and 35% in the first round. This is a historically high level: across the six presidential elections since 1995, the highest first-round score was 31.2% (Sarkozy in 2007).

(ii) Mélenchon is polling at around 15% in July, up from 11% in February. At this stage, however, the list of other left-wing candidates (Communists, Ecologists and Socialists) remains unclear, while these parties together poll around 18%. There is therefore still considerable uncertainty about the distribution of votes across the left, and the support for individual candidates could still move significantly higher or lower.

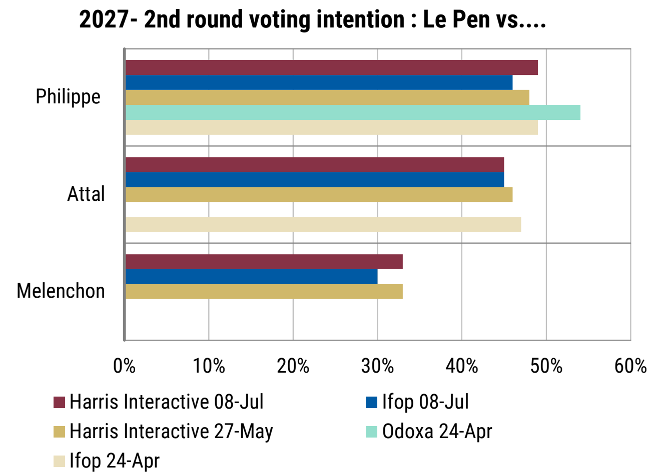
(iii) When Attal and Philippe are assumed both to be candidates simultaneously, their combined vote share is estimated at above 20%. However, when polls assume only one of them will be a candidate (Attal without Philippe, and vice versa), they tend to poll lower, at around 19% for Philippe in July and 14% for Attal. We also note that Retailleau (Les Républicains) is polling at around 10%. Ultimately, whether the centre and right have three candidates (or more) or just one will likely be a key factor in deciding the threshold for qualifying for the second round. Ultimately, the degree of fragmentation on the centre-right is likely to be one of the key determinants of the threshold for qualifying for the second round.

Exhibit 6: As of today, Le Pen is polling well ahead other candidates in the first round...



Source: Elabe, Opinion Way, Harris Interactive, Ifop, Ipsos, Morgan Stanley Research. Note: We show the six candidates with the highest polls as of today.

Exhibit 7: ...and polls suggest she has also a fair chance to win the second round



Source: Ifop, Odoxa, Harris Interactive, Morgan Stanley Research. Note: The chart shows scores in a face-off with Le Pen in the second round ie if opponents are shown above 50% in that chart they would be elected, while Le Pen would be elected otherwise.

Post-election scenarios: how to frame the debate?

Presidential election x parliamentary election = many possibilities: The presidential election will very likely be followed by snap parliamentary elections (see the previous section). This significantly expands the range of potential political outcomes, as the final scenario will depend on both the winner of the presidential election and the composition of the new national assembly. The next President could face a hung parliament (as is the case today), secure a parliamentary majority, or find themselves in an intermediate position, without a majority from their own party but able to rely on support from a broader coalition.

Compromises needed? Looking at the current composition of the National Assembly (Exhibit 8), where the largest party, RN, holds only 24% of the seats, it does not seem very likely that any President will secure an outright majority. Instead, the next President will probably have to govern with allies whose policy positions may be more or less closely aligned with their own. In such coalitions, the marginal partner can play a pivotal role, as the governing majority may depend on only a small number of MPs. This would likely require compromises, meaning the next President may not be able to implement their manifesto in full.

Four broad scenarios: Against this backdrop, we identify four broad scenarios from today's perspective, based on the current composition of the National Assembly (Exhibit 8). The first is a hung parliament. Irrespective of who becomes President, this would represent a continuation of the political environment France has experienced since 2024, with a significant risk of the Prime Minister being voted out (France has had three Prime Ministers in the past two years) and limited room for manoeuvre for the Government, as illustrated by the difficulties in passing the 2025 and 2026 budgets. The three other scenarios see a President supported by a parliamentary majority from either the left (ranging from La France Insoumise (LFI) to the Socialists, which formed the Nouveau Front Populaire coalition in 2024), the centre/centre-right (likely from Renaissance to Les Républicains, the bloc currently supporting the Government), or RN (together with its allies, including support from parts of the conservative right, such as the UDR led by Éric Ciotti).

Exhibit 8: Since the June 2024 snap legislative elections, the national assembly has been split

	Left (2024 Nouveau Front Populaire): 194				Centre and right ("Socle Commun"): 211				RN and allies:		Others
	LFI	Ecologists	Communists Party	Socialist Party	Renaissance	MoDem	Horizons	Les Republicains	UDR	RN	
Announced candidates for 2027	Melenchon	Tondelier	Roussel	?	Attal	?	Philippe	Retailleau	Le Pen		?
Number of MPs in current National Assembly	71	38	17	68	90	37	36	48	17	122	33

Source: National Assembly, Le Monde, Morgan Stanley Research

Busy first months domestically… Exhibit 9 shows the key dates through December 2027 for the new Government. Given the fiscal backdrop and the new Government's potential willingness to change policy direction, we expect key decisions to be taken very early in the term. On the domestic front, the focus will be on the 2027 and 2028 budgets. If a 2027 budget law has already been passed, the new Government would be able to amend it during the summer. Previous elections show that such amendments can be adopted as early as August (see box below). In the absence of an adopted 2027 Budget Law, however, the Government would need first to pass one, which would be a much more extensive exercise. We assume this could not be completed before September, or even October. This would then largely overlap with the preparation of the 2028 Budget Law, which the Government would need to draft during the summer before submitting it to Parliament at the beginning of October.

…and at the EU level: At the EU level, we highlight two key deadlines. As part of the EU fiscal surveillance framework, France is required to submit its Draft Budgetary Plan to the European Commission around mid-October. This is, broadly speaking, a by-product of the Budget Law submitted to the French Parliament a couple of weeks earlier and should therefore not be a major issue. More importantly, while the European Commission is aiming to secure a political agreement on the EU Multi-annual Financial Framework (MFF) for 2028-2034 by the end of 2026 – that is, before the French presidential election – we would not rule out negotiations extending until much closer to the end of 2027, as was the case during the previous negotiations in 2020 (see box below).

Exhibit 9: Timeline – a busy end of 2027 after the elections

	May-27	Jun-27	Jul-27	Aug-27	Sep-27	Oct-27	Nov-27	Dec-27
France	**14 May**: New President takes office	**mid-June:** snap parliamentary elections **end-June:** Government formed		*Potentially: Budget law amending the 2027 budget (if voted before the elections)*	*If needed: 2027 budget law to be passed*	**Early October:** Draft 2028 Budget law submitted to parliament		**Before end-Dec:** 2028 budget adopted
EU fiscal framework	**Spring** European Semester: Country-specific recommendations					**Mid-October:** France communicates its draft budgetary plan for 2028	Autumn European Semester- Country-specific recommendations	
Other EU policies		Potentially: ongoing negotiations on the EU multi-annual financial framework (MFF) for 2028-2034						EU budget (Multi-annual Financial Framework 2028-2034) must be agreed

Source: Morgan Stanley Research

Meaningful changes to the fiscal stance already in the summer?

Exhibit 10: Newly elected governments tend to amend the initial budget bill

Presidential election	Prime Minister	Chang of majority in parliament after the presidential elections ?	Amending budget initiated by the government	Amending budget voted in parliament
2007 - Sarkozy	Fillon	No	21-Nov-07	**25-Dec-07**
2012 - Hollande	Ayrault	Yes	04-Jul-12	**16-Aug-12**
2017 - Macron	Philippe	Yes	02-Nov-17 15-Nov-17	**01-Dec-17** **28-Dec-17**
2022 - Macron	Borne	No	07-Jul-22 02-Nov-22	**16-Aug-22** **01-Dec-22**

Source: Morgan Stanley Research

Exhibit 10 shows that, following two of the past four presidential elections (in 2012 and 2022), the new Government passed an amending budget law as early as August. From today's perspective, the 2012 episode is likely the most relevant (here). The Government adopted a supplementary finance bill aimed at both consolidating the public finances and implementing some of President Hollande's campaign commitments. The bill sought to keep the fiscal deficit on target despite lower-than-expected tax revenues. To offset the revenue shortfall, the Government introduced significant tax increases (around €7bn), mainly through higher taxes on large corporations, banks, financial transactions, and high-income households.

EU Multi-annual Financial Framework 2028-2034: What is the timeline?

Exhibit 11: A political agreement on the 2021-28 MFF was reached only late in 2021

Date	Institution	Event
02-May-18	European Commission	Formal legislative proposal for the 2021–2027 MFF
20–21 Feb-20	European Council	Special summit
27-May-20	European Commission	Revised proposal
17–21 July-20	European Council	Five-day summit
10-Nov-20	Parliament & Council	Political agreement
16-Dec-20	European Parliament	Parliament approval
17-Dec-20	European Council	Formal adoption
01-Jan-21	EU	MFF enters into force

Source: European Commission (here and here), Morgan Stanley Research

At the EU level, one key ongoing negotiation concerns the Multi-annual Financial Framework (MFF), i.e. the EU's long-term budget, for the 2028-2034 period.

A recent communication from the European Commission (here) calls for an early political agreement: "Following the European Commission's initial proposals for the 2028-2034 period presented in July and September 2025, an EU agreement on the overall MFF by the end of 2026 would allow for the adoption of legislative acts in 2027. This is necessary to ensure that EU funding reaches beneficiaries without interruption from January 2028."

If EU Heads of State or Government were to reach a formal agreement before the end of 2026, this would likely limit the ability of the next French President to reopen the negotiations. We note, however, that negotiations on the 2021-2027 MFF were concluded only close to the deadline, in the second half of 2020, for a framework entering into force in January 2021. A repeat of that timeline should therefore not be ruled out.

Manifestos: overview

Before diving into the manifestos already available today (in the next subsection), we look at the timing of publication in 2022, voters preoccupations and the specific issue of the pension reform.

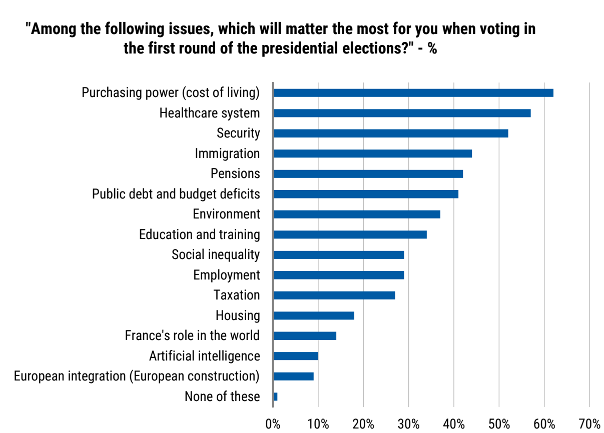
Looking back at 2022: The communication and publication of election manifestos is a key stage of any presidential campaign, and candidates adopt different strategies, as illustrated by the three candidates who finished first in the first round in 2022 (Exhibit 12). Mélenchon, for instance, published a comprehensive manifesto as early as October 2021. By contrast, Macron officially declared his candidacy only in March 2022 and published his manifesto just one month before the first round. In between, Le Pen released several policy booklets and a core document setting out 22 measures over the course of several weeks, complemented by thematic presentations, including press conferences on pensions in February and fiscal policy in March.

Exhibit 12: In 2022, strategies differed across candidate

Candidate	First round score	Format of manifesto	Date of communication of the manifesto
Macron	27.9%	Booklet - Avec Vous	17-Mar-22
Le Pen	23.2%	Thematic booklets and a core 22-measure document. Thematic presentations	Pensions : 17-Feb-22 Fiscal : 23-Mar-22
Melenchon	22.0%	Programme presented at LFI October 2021 convention. Published book in November 2021.	10-Oct-21

Source: Macron, Le Pen, Melenchon, Morgan Stanley Research. Note: The table shows the three 2022 candidates with the highest score in the first round.

Exhibit 13: What do voters want in 2027?



Source: Les Echos 10 July 2026, Morgan Stanley Research

What voters want: According to a recent survey by Les Echos, purchasing power (i.e. the cost of living) is by far the top priority for French voters ahead of the 2027 presidential election, ranking well ahead of all other issues (Exhibit 13). It is followed by healthcare and security, reflecting voters' focus on everyday economic and social concerns. The survey also highlights significant differences across political groups. As noted by Les

Echos, left-leaning voters tend to rank purchasing power alongside social protection and pensions, while right-leaning voters place greater emphasis on security in addition to economic issues. Supporters of the current governing bloc are more concerned about public debt and fiscal deficits than other electorates. Overall, the findings suggest that candidates' ability to present credible solutions to the cost of living is likely to be a decisive factor in the 2027 campaign.

Key economic issues | Fiscal policy and the pension reform: In the context of a high fiscal deficit and rising public debt (see the next section for more details), France's fiscal challenges will inevitably be a major theme of the presidential campaign. Within this broader debate, pension reform is likely to be one of the key issues for voters. Last year, the Government suspended the implementation of the 2023 pension reform, freezing the legal retirement age at 62 years and 9 months. However, the reform is due to resume in 2028, with the retirement age increasing progressively to 64 years (see box below for more details). In this context, the next President will have to decide whether to permanently repeal the 2023 reform or allow it to resume. Exhibit 14 summarises the current positions of selected candidates and parties. It shows that candidates from the centre and the right (Attal, Philippe and Retailleau) support maintaining the reform and would most likely raise the legal retirement age further. By contrast, parties on the left (LFI, the Ecologists and the Socialists) and RN support repealing the reform and lowering the legal retirement age back to 62 or below.

Exhibit 14: Selected views on the pension reform

Candidate/Party	Stand on the pension reform
Marine Le Pen (RN)	Repeal the 2023 pension reform. Restore retirement between 60 and 62 depending on age of entry into the labour market (retirement at 60 for those with 40 years of contributions; otherwise legal age 62).
Édouard Philippe (Horizons)	Maintain the 2023 reform and increase the retirement age beyond 64
Gabriel Attal (Renaissance)	Maintain the 2023 and increase the focus of the system of the numbers of years of contribution rather the legal retirement age
Bruno Retailleau (LR)	Maintain the 2023 reform and increase the retirement age beyond 64
Socialist Party	Repeal the 2023 reform, with the legal retirement age brought back to 62. Increase the number of years of contributions to 43 (172 quarters)
Marine Tondelier (Les Écologistes)	Repeal the 2023 reform and return immediately retirement age to 62, with the aim of lowering it to 60
Jean-Luc Mélenchon (LFI)	Repeal the 2023 reform. Restore retirement at 60 after 40 years of contributions. Increase minimum pensions.

Source: Press reports (here, here and here), Morgan Stanley Research

The 2023 pension reform suspended: where do we stand?

The 2023 pension reform was suspended in 2025, as part of the negotiations between PM Lecornu and the Socialist Party on the 2026 budget (here). The 2023 reform initially featured a progressive increase of the legal retirement age from 62 to 64. The 64 mark was supposed to be attained in 2032 – that is, for those born in 1968. Under the current suspension, the legal age is temporarily frozen at 62 years and 9 months and does not increase. However, the suspension only runs until the beginning of 2028, and absent a change to current legislation, the legal retirement age will start increasing again in that year. The threshold of 64 for retirement age would then be attained in 2033, for those born in 1969 – one year later than initially planned. The freeze of the reform is estimated by the government (here) to cost ~€0.1bn in 2026 and ~€1.4bn in 2027.

Manifestos: more detail

To the best of our knowledge, detailed manifestos for the 2027 elections have been published only by a few parties, namely LFI, the Ecologists and the Socialist Party. As for RN, we note the contre-budget ("alternative budget") it published in October 2025, which we see as a useful reference for assessing the party's position on fiscal issues.

RN | What can we learn from its 2026 "contre-budget"? In October 2025, RN published an "alternative budget" in response to the draft budget proposed by Prime Minister Lecornu. Exhibit 15 summarises the detailed measures put forward. We highlight three key takeaways. First, the party targeted a significant reduction in the public deficit, from 5.4% of GDP in 2025 (the official estimate at the time) to 4.7% in 2026. Second, this reduction relied on a net fiscal effort on the spending side of around €50bn. The main proposed spending cuts concerned France's contribution to the EU (€8.7bn), the fiscal cost of immigration as estimated by RN (€11.9bn), and substantial reductions in a number of public policies, including those implemented through dedicated public agencies. Third, the proposal also included a net tax cut of around €24bn, accompanied by a significant redistribution of the tax burden across taxpayers. On the one hand, RN proposed to reduce VAT on energy and lower production taxes. On the other hand, it proposed significant tax increases on share buybacks, dividends, financial transactions and wealth.

Exhibit 15: Key measures from RN's "contre-budget" of October 2025

Total spending cuts (EUR Bn)	57.4	Total new spending (EUR Bn)	7.3
Reduce France's contribution to the EU budget	8.7	Indexation of social benefits	3.6
Spending cuts on immigration-related policies	11.9	Pension reform	1.5
Subsidies for renewables	7.2	Acquire a golden share in ATOS, Arcelor and Opella	0.5
Reduction of MaPrimeRenov	3.4	Increase infrastructure investment in overseas territories	0.7
Spending cuts for public agencies and public operators	7.7		
Reduction of development aid	2.3		
Reform Treasury bill management and impact of lower borrowing	4.0		
Reduction of local spending	5.0		
Rest	7.2	Rest	1.0
Total additional revenues (EUR Bn)	**31.0**	**Total lower revenues (EUR Bn)**	**45.5**
Tax on financial wealth	4.0	Reduce VAT on energy (gas, electricity, fuel, wood, heating oil)	11.0
Tax on share buybacks	8.4	Remove VAT on 100 essential products	3.5
Tax on intraday financial transactions	3.0	Grant a full tax allowance from the second child	2.9
Tax on "superdividends"	0.8	Reduce production taxes (CFE, C3S, CVAE)	16.2
Revenues from Energy Savings Certificates	6.0	Abolish the tax on employee benefits	1.0
Anti-fraud plan	3.5		
Rest	5.4	Rest	11.0

Source: Rassemblement National, Morgan Stanley Research

LFI | *"L'Avenir en Commun"*: LFI's current platform for the 2027 elections (here) builds on its programme first developed for the 2022 presidential campaign and updated for the 2024 legislative elections. The current version is structured around five thematic areas: "civic and individual freedom", "ecological adaptation", "social cohesion", "human dignity", and "international order". Key economic measures include lowering the retirement age to 60, raising the net minimum wage to €1,600/month, and limitations on lay-offs. Fiscal plans include tax increases on profits, financial transactions, wealth and personal income. On European policy, the programme proposes a negotiated exit from existing EU treaties (referred to as "Plan A"), with the objective to "recover national budgetary sovereignty", introduce "social and ecological harmonisation" rules within the EU, and implement "ecological protectionism", with any new arrangement subject to a referendum in France.

Les Ecologistes | *"Pour un prospérité écologique"*: The 2027 manifesto published by Les Ecologistes in July (here and here) covers a broad range of topics. On fiscal issues, the consolidation of public finances would rely mostly on higher taxes such as restoring the wealth tax (ISF), introducing a 2% tax above €100m of wealth, increasing taxes on large inheritances, a minimum corporate tax for groups with more than €1bn in revenues, and an increase in the digital-services tax from 3% to 5%. Capital taxation would also rise through a 0.7% financial-transaction tax, a 3ppt increase in both specific social contributions (CSG) and the flat tax, alongside a new 60% income-tax bracket above €250,000. Lower-income tax brackets would receive relief. Additional revenues would be used to fund additional public services, investments in the green transition, while aiming at stabilising public debt. On pensions, the programme calls for repealing the 64-year retirement age, an immediate return to 62, and a longer-term objective of 60, prioritised for those who began working early or under difficult conditions.

PS | "*Vivre libre*": The Projet Socialiste (PS) manifesto for 2027 was published on 22 April 2026 (here and here). The document is also intended to define the "party's identity" beyond the 2027 campaign. The text argues that 20th-century social democracy achieved substantial social progress but did not account for "environmental limits", did not eliminate gender or racial inequality, and gradually weakened under the pressure of "liberal globalisation". On pensions, the document proposes repealing the 2023 reform, restoring the legal retirement age to 62 as a protective minimum rather than the system's central parameter, and structuring pension entitlement around 43 years of contributions, adjustable for hardship criteria. On economic policy, it proposes raising the net minimum wage to approximately €1,700/month and introducing a 2% wealth tax on fortunes above €100 million (the "Zucman tax"), along with a new tax on large inheritances.

1983: The "austerity turn" (le tournant de la rigueur)

In today's challenging fiscal environment in France, and with risks coming from markets reactions (see following sections), we cannot exclude the possibility that the next President may be forced to deviate from their campaign manifesto. This would not be a first in French politics; the early 1980s offer an interesting precedent (see here).

After winning the 1981 presidential elections, socialist President Francois Mitterrand pursued expansionary policies and greater state intervention. Key measures included the nationalisation of major banks and industrial groups, a significant increase in the minimum wage (SMIC) and social benefits, the creation of public-sector jobs, the reduction of the working week to 39 hours, the introduction of a fifth week of paid annual leave, and the lowering of the retirement age from 65 to 60 for many workers. The Government also increased public spending to stimulate demand.

The Government, however, soon faced rising inflation, higher budget deficits, and pressure on the French franc. In March 1983, it decided to shift policy, a change called "*tournant de la rigueur*" ("austerity turn"). It chose to remain in the European Monetary System (EMS) rather than devaluate the currency. This was achieved through a mix of fiscal discipline, spending restraint, and measures to restore economic competitiveness. The *tournant de la rigueur* marked France's commitment to European economic integration. It also did not prevent Francois Mitterrand from being re-elected in 1988.

Fiscal Outlook: 2027 and Beyond

Jean-Francois Ouvrard

Will the 2027 budget pass? If so, when?

How this works: France has two annual budget bills: one for the central government and one for the social security system. The constitutional process for adopting these two budget laws is clearly defined. The Government is required to submit the draft budget bills to Parliament no later than the first Tuesday of October (that is, 7 October this year). From that point, Parliament has 50 days to adopt the social security budget bill and 70 days to adopt the central government budget bill. These deadlines do not automatically prevent Parliament from continuing its deliberations, although the Constitution provides the Government with additional options if they are exceeded (see below). If the budget has not been adopted by the end of December, as was the case in 2025 and 2026, a special law rolling over the previous year's budget can be adopted, preventing a shutdown of the French administration. Against this backdrop, we see three possible scenarios for the 2027 budget.

Scenario (i): Budget adopted before the elections: In the first scenario, the budget is adopted in the next months, either via a positive vote in Parliament or after the Government resorts to article 49.3 of the constitution [1] . As seen in the last two years, the adoption of the budget could still happen a couple of weeks after the 31 December.

Scenario (ii): No budget before the elections: The second scenario is that the budget is not adopted. This could happen if Parliament rejects the budget and/or the Government loses a vote of no confidence after invoking Article 49.3 of the Constitution. In that case, a special law adopted in December would roll over the 2026 budget into 2027, and France would remain under that temporary regime until after the 2027 elections. In addition, if the Government were to lose a vote of no confidence after using Article 49.3 to pass the budget, it would have to resign. It could, however, remain in office as a caretaker government (potentially until the elections) or be replaced by a new government, which could still attempt to pass a budget before the elections if time allowed. Under this scenario, the government formed after the elections would need to pass a 2027 Budget Law, most likely in September or October (see also the previous section).

Scenario (iii): Ordinances: A third scenario is also possible. Article 47.3 of the Constitution allows the Government to implement the budget by ordinance, without a parliamentary vote, if Parliament fails to reach a final decision (whether positive or negative) within 50 days for the social security budget bill and 70 days for the central government budget bill. If the Government were to resort to this procedure, it could still face a vote of no confidence initiated by the opposition in Parliament. Having effectively forced the adoption of the budget, the risk of losing such a vote would likely be significant. This probably explains why the procedure has never been used.

1. Article 49.3 enables the Government to pass a text without a vote in parliament, but at the risk of facing a motion of no confidence

What to expect? A 2027 Budget Law would also benefit the next government: Given the split Parliament, passing the budget will likely be challenging. So far, our baseline has been that, with only a few weeks remaining before the April elections, negotiations between the Government and the opposition have a low probability of succeeding, implying that the budget would not be adopted before the elections. More recently, however, we have heard the Prime Minister emphasise the need to continue fiscal consolidation while arguing that having a 2027 Budget Law in place would also benefit the next government, which would otherwise have to devote the first months of its term to this issue (here and here). Opposition parties could also take the view that, if elected, they would in any case amend the budget. Finally, we do not view scenario (iii) as implausible, given the very specific political context. With the presidential election scheduled for April 2027, the current government's remaining time in office is, by definition, limited. As a result, the political cost of being voted out may be perceived as relatively small compared with the benefit of ensuring that a 2027 budget law is in place.

Fiscal: no room available

A deteriorated starting position: France has a high public deficit, which we expect at 5.2% of GDP in 2026, a touch higher than the Government's target (here). Under the EU fiscal framework, France has committed to reducing its deficit to below 3% of GDP by 2029. Doing so would represent a fiscal adjustment of around €60bn. However, the consolidation effort does not stop there. First, in an environment where interest rates exceed nominal GDP growth, France will need to achieve a primary surplus over the medium term simply to stabilise public debt. Second, under unchanged policies, the public deficit would not remain stable but would continue to widen over time.

Exhibit 16: A recent government-commissioned report projects the deficit would increase to 6.8% of GDP in 2030 with unchanged policies

% of GDP	2026	2027	2028	2029	2030
Public deficit	-5.0	-5.9	-6.2	-6.6	-6.8
Public debt	118.4	121.4	124.2	127.3	130.5

Source: Projections from experts report, Morgan Stanley Research

A clear direction, upwards: The scale of this challenge was analysed in detail in a report submitted to the government on 15 July by a group of four experts (here). The report examines in detail the projected paths of public spending and revenues under unchanged policies, and we believe it provides a very useful benchmark. Its conclusions also closely align with the views we presented in our recent Bluepaper on the changing fiscal regime in Europe. The report finds that, under unchanged policies, France's public deficit would rise to 6.8% of GDP by 2030, with public debt increasing by more than 3 percentage points of GDP per year (Exhibit 16). Relative to that baseline, the fiscal consolidation required to bring the deficit to a level consistent with stabilising public debt is estimated at around €125bn, or around 4% of GDP.

A very large step in 2027… The report details the factors driving the projected increase in the public deficit between 2026 and 2030 (we note that it assumes a deficit of 5.0% of GDP in 2026, whereas our forecast is slightly higher, but this difference is marginal). It projects a significant deterioration in 2027, amounting to 0.9pp of GDP, driven by three main factors: (i) lower revenues, primarily because, under current legislation, the temporary surcharge on corporate income tax is due to expire in 2027 unless it is extended through another budget law; (ii) higher spending, reflecting both rising interest payments and continued growth in primary expenditure – this trend is driven by higher defence spending and, under unchanged policies, increasing health and pension spending; and (iii) other factors (-0.1pp) reflecting the assumption that 2027 growth is likely to be below potential. Our focus is on the structural drivers captured by points (i) and (ii).

…and more to come afterwards: While the experts' report shows that the projected step is larger in 2027 than the following years, the pressure on France's deficit is projected to remain significant up until 2030. The key factors are well identified: increasing interest payments (+0.3pp of GDP every year), higher social spending (+0.1pp every year) and higher defence spending (+0.1pp every year).

Exhibit 17: With "unchanged policies", a potential deterioration in 2027 because of revenues and spending

pp of GDP	2027		2030/2027 (yearly average)	
Change in public deficit	**-0.88**		**-0.29**	
Impact on the change in public deficit from...				
Trend revenues	**-0.30**		**0.04**	
Trend spending of which	**-0.46**		**-0.43**	
Trend interest payment		-0.28		-0.27
Trend primary spending		-0.18		-0.16
Cyclical impacts	**-0.12**		**0.10**	

Source: Projections from experts report, Morgan Stanley Research

Exhibit 18: Defence and social spending are projected to weigh on spending in the next years

pp of GDP	2027	2030/2027 (yearly average)
Trend primary spending, of which	**-0.18**	**-0.16**
Defence	-0.15	-0.07
Pensions	-0.08	-0.04
Health	-0.07	-0.07
Contribution to EU budget	-0.07	-0.05
Local cycle	0.14	-0.03
Others	0.06	0.09

Source: Projections from experts report, Morgan Stanley Research

Our scenarios | 2027 without a budget: We think this analysis provides a solid reference to think about the deficit trajectory from here. Per our tracking (here), we expect the 2026 deficit to stand at 5.2% of GDP. If the 2027 budget is not approved, we see the deficit tracking with the trend described above, with the exception of defence spending, which we assume would be unchanged. This would push France's public deficit towards 5.9% of GDP next year.

2027 with a budget: If a budget is approved, as is now our baseline, we would assume: (i) the temporary surcharge on corporate taxes remains in place (+0.2pp of GDP vs above trend); (ii) measures on central government and social spending stabilise primary spending as a share of GDP (+0.2pp vs above trend); and (iii) further tax increases in a comparable amount to 2026 (ca +0.3pp vs above trend). With all of that, we would expect the 2027 to be broadly stable at 5.2%Y of GDP.

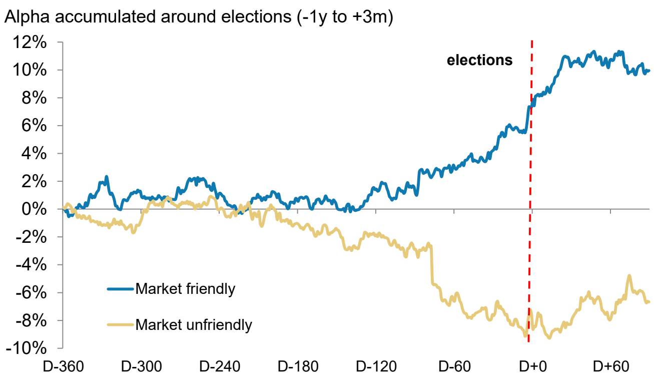
And beyond 2027? For the reasons outlined above, we think it is too soon to discuss precise scenarios for France fiscal orientation after 2027. That said, when we look back at the manifestos of the 2024 snap parliamentary elections (here), it appears that none came with a comprehensive strategy to reduce the deficit. The next President and Government will face clear fiscal constraints, and keeping the deficit stable already appears a challenge from a political standpoint. With the current parameters of the economy – a deficit of ~5% of GDP, nominal growth of around 3% and a public debt of ~115% of GDP – an unchanged deficit would mean public debt increasing by 8-10 points of GDP over the five years of the presidential mandate, +2pp per annum. That is actually very similar to the trend increase observed on average over the past 25 years (public debt was 59% of GDP in 2000). From a debt sustainability perspective, whatever the political developments ahead, a change of course after 2027 looks like a tail scenario.

Equity Strategy: All About Those Taxes

Marina Zavolock, Regiane Yamanari, Leoni Externest, Emily Woods

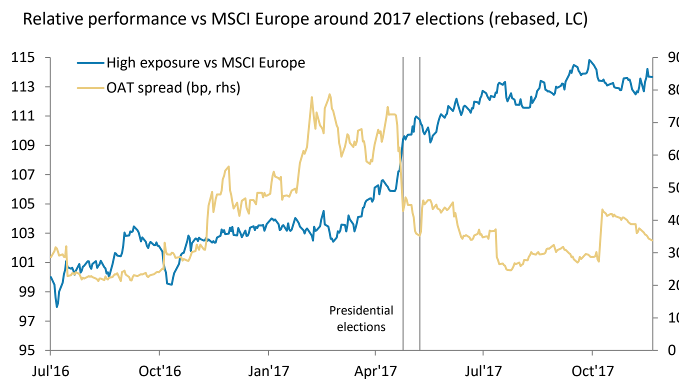
Equities typically start to price potential election outcomes 4-6 months before the event (e.g. from November in the case of France 2027): Longer-term-oriented investors have recently begun to ask about our outlook into 2027 French elections, suggesting there is already some element of elections being considered in longer-term investment decisions. More generally, our analysis of 90+ past presidential elections suggests that equities typically start pricing election outcomes around 4-6 months ahead of the vote (Exhibit 2). In the case of the 2017 presidential election, we began to see deviation in French domestic equities' performance from the overall index just a month before the first round, whilst OAT spreads began to move 6 months prior. All-in-all we expect April/May 2027 to become a rising consideration for equities investors from the start of the year-ahead outlook window in November.

Exhibit 19: Equities tend to start pricing election outcomes 4-6 months ahead of the event, according to our analysis of 90+ past presidential elections



Source: Bloomberg, Morgan Stanley Research. Note: For more details, see here.

Exhibit 20: In the 2017 presidential elections, domestic French equities began to price the outcome only c. 1M prior to the start of elections, whilst OAT spreads moved c. 6M prior



Note: High exposure stocks includes top 30 stocks based on combination of revenue exposure to France, 3-month correlations to OAT spreads in July 2024 and November 2025, stock price decline from Jun 7-14, 2024 and from Aug 22 to Sep 2, 2025. Source: Factset, MSCI, Morgan Stanley Research

Exhibit 21:

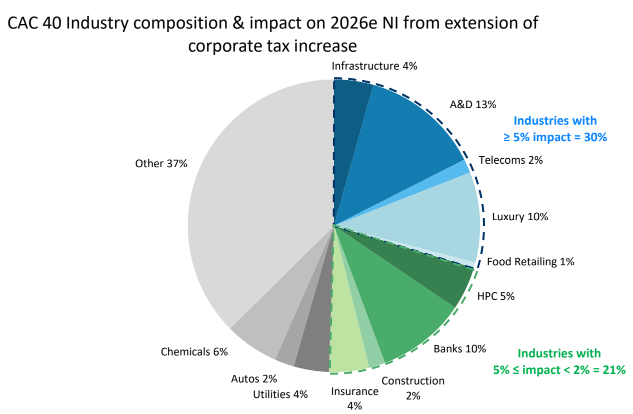
We provide a screen of stocks most exposed to a collection of potential French election policies and fiscal risks, as discussed in the remainder of this section

#	Ticker	Company	Sector	MS Rating	Last Price (LC)	France Revenue Exposure	Performance (LC) 7-14 June 2024	Performance (LC) 22 Aug - 2 Sep 2025	Correlation to OAT spread (3M) Jul-24	Correlation to OAT spread (3M) Nov-25	2027e NI impact from corporate tax surcharge	Other potential tax exposure (%-ile)
1	FGR FP	Eiffage SA	Construction	OW	122.0	64%	-14.7	-17.1	-0.62	-0.58	12%	73%
2	DG FP	VINCI SA	Construction	EW	118.4	42%	-11.4	-12.4	-0.65	-0.56	8%	82%
3	GLE FP	Societe Generale SA	Banks	OW	77.2	44%	-14.9	-9.2	-0.50	-0.57	3%	96%
4	SPIE FP	SPIE SA	Business Services	OW	48.4	34%	-14.4	-11.8	-0.60	-0.47	4%	53%
5	ADP FP	Aeroports de Paris	Transportation	OW	106.4	68%	-14.4	-10.9	-0.52	-0.51	9%	41%
6	ACA FP	Credit Agricole SA	Banks	EW	18.5	46%	-11.0	-9.7	-0.46	-0.57	6%	76%
7	CS FP	AXA SA	Insurance	OW	44.8	25%	-11.3	-8.0	-0.54	-0.49	2%	97%
8	BNP FP	BNP Paribas S.A.	Banks	EW	105.9	26%	-12.0	-8.9	-0.51	-0.48	1%	99%
9	SGO FP	Compagnie de Saint-Gobain SA	Construction	OW	74.2	26%	-9.3	-7.8	-0.52	-0.44	2%	95%
10	VIE FP	Veolia Environnement SA	Utilities	EW	36.6	20%	-9.8	-9.2	-0.56	-0.44	1%	93%
11	ENGI FP	ENGIE S.A.	Utilities	OW	27.8	45%	-11.5	-7.5	-0.46	-0.45	2%	81%
12	EN FP	Bouygues SA	Construction	EW	47.5	51%	-11.1	-8.0	-0.44	-0.47	8%	43%
13	AMUN FP	Amundi SA	Diversified Financials	EW	87.6	45%	-8.6	-6.9	-0.57	-0.31	3%	64%
14	HO FP	Thales SA	Defence	EW	236.4	29%	-13.0	-5.2	-0.51	-0.15	7%	49%
15	RXL FP	Rexel SA	Capital Goods ex-A&D/Const.	OW	37.6	20%	-9.1	-3.2	-0.34	-0.54	3%	65%
16	SAF FP	Safran SA	Aerospace	EW	329.8	19%	-5.7	-3.8	-0.41	-0.32	7%	85%
17	EDEN FP	Edenred SA	Diversified Financials	OW	26.4	20%	-12.4	-10.9	-0.39	-0.05	0%	89%
18	ALO FP	Alstom SA	Capital Goods ex-A&D/Const.	EW	16.0	19%	-12.4	-10.9	-0.35	-0.41	2%	16%
19	GET FP	Getlink SE	Transportation	OW	18.9	50%	-5.8	-8.1	-0.43	-0.36	0%	72%
20	AF FP	Air France-KLM SA	Travel & Leisure	OW	11.7	51%	-7.3	-14.6	-0.27	-0.24	4%	38%

Source: Company data, Factset, LSEG Data & Analytics, Morgan Stanley Research. Note: Share prices as of 27 July 2026.

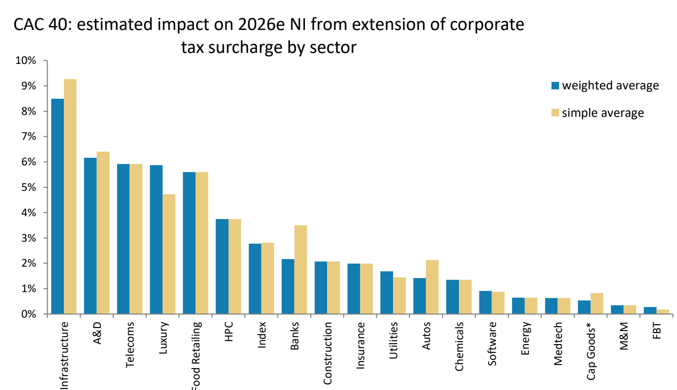
In equities, elections will refocus investors on tax and fiscal risks. 1) Corporate tax surcharge - into 2027 and beyond? We remind that in recent years, as fiscal constraints have begun to be addressed, the primary corporate tax measure that has been introduced has been the corporate tax surcharge (see details here), which has thus far been implemented two years running. Our economist expects this surcharge to be rolled over in the 2027 budget and there continue to be risks of extension beyond this. We believe this risk is priced and in consensus for 2027 for highly domestically exposed stocks (e.g. Infrastructure, Utilities), but not for global-oriented stocks (e.g. Luxury, A&D, Staples). We have found historically that those stocks highly exposed to France's corporate tax surcharge only react briefly to developments around the tax (introduction/extension) as the market has thus far treated it as a one-off (or twice-off) - Exhibit 25 .

Exhibit 22: We estimate that 30% of the CAC index weight has 5% or more of earnings exposed to the corporate tax surcharge; c. 50% is exposed to >2% of earnings impact



Source: IMF, Morgan Stanley Research

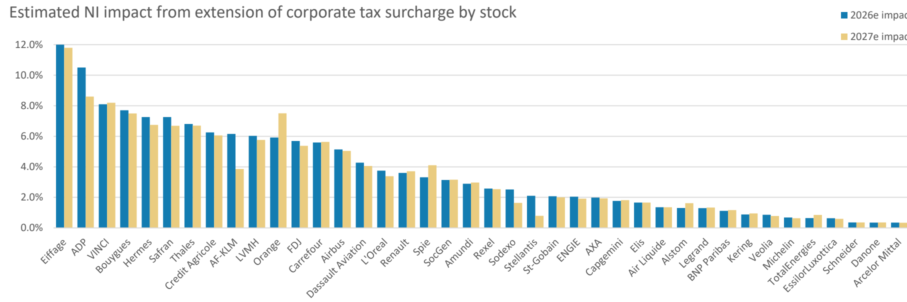
Exhibit 23: French infrastructure, A&D, Telecoms & Luxury sectors are most exposed to corporate tax surcharges...



Source: IMF, Morgan Stanley Research

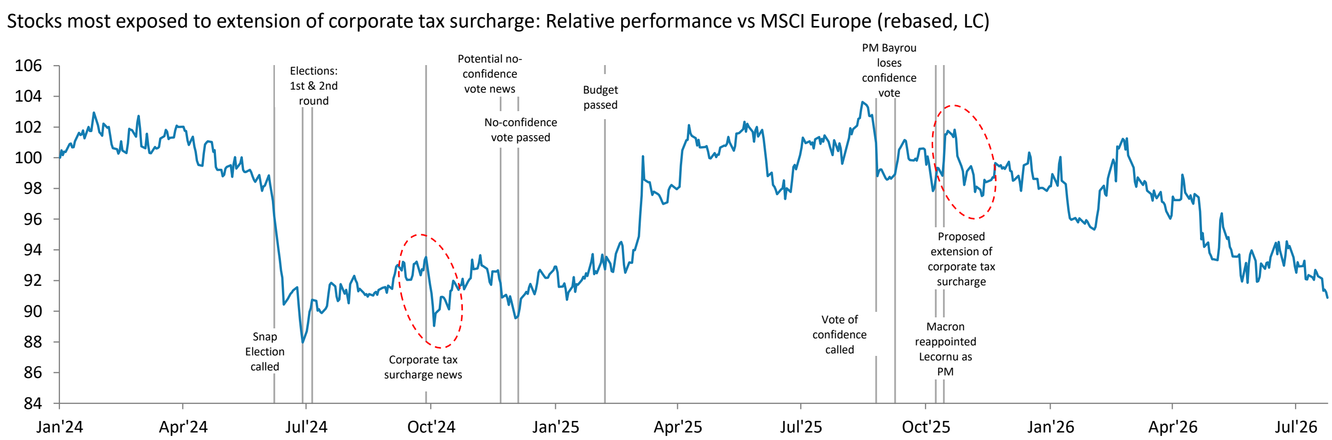
Exhibit 24:

Companies most exposed to France's corporate tax surcharge in 2026e and 2027e - we believe domestic equities incorporate this risk but global do not



Source: Company data, Bloomberg, FactSet, Morgan Stanley Research estimates (e). Note: Estimated impact calculated based on tax increase from 25% to 30.15% or 35.3%, depending on the value of revenues generated in France, all else equal. Universe of stocks considered: CAC40 index in addition to some French domestic names and foreign companies with significant French exposure; net income exposure to France is an estimate for majority of companies.

Exhibit 25: However, we have found historically that those stocks highly exposed to France's corporate tax surcharge only react briefly to developments around the tax (introduction/extension) as the market has so far treated it as a non-recurring one-off (twice)



Source: Factset, Morgan Stanley Research. Note: Based on stocks with >5% estimated impact on net income from extension of corporate tax surcharge.

2) Additional corporate tax proposals are likely into and around elections, as our economist highlighted previously. In November 2025 we analyzed a raft of corporate tax proposals that were introduced into the French budget process – see Exhibit 26 for a summary. Whilst these specific proposals may change and details around new proposals (for example for RN relating to buybacks and LFI on dividends) are vague, we believe the below can give a sense of the elevated level of tax proposal headline risk that is likely during the French election process. Notably, it is especially globally oriented stocks along with Banks that were most exposed to past proposals - Exhibit 27 .

Exhibit 26: For illustrative purposes, we remind of the raft of corporate tax proposals that were introduced during the November budget process - we note that manifestos are not yet clear around specific corporate tax measures

Extension of Corporate Tax Surcharge

Potential extension to 2027 of corporate tax surcharge (2025 & 2026 measure).

What could be extended: French profit tax surcharge of +41.2% (e.g. +10.3pp to standard rate) for companies with French revs > €3bn; +20.6% for French revs of €1.5-3bn (+5.15p.p.). This is similar to 2025 and 2026 *which were put in place for 1Y only.*

Est. impact: ~2.8% of CAC & 40bp of MSCI Europe 2027 earnings. ~30% of CAC index seeing >5% decline in 2027 earnings

French Revenue-Profits Mismatch Tax

Corporate tax **based on mismatch between proportion of revenues & PBT generated in France** e.g. companies with French revenue share > PBT share exposed. **Proposed by LFI.**

What could change: For co's where share of rev. generated in France is >5pp higher than share of profits generated in France, the following applies: French PBT * (% share rev in France - % share profits generated in France)*standard corporate tax rate (25%) + pre-existing France corporate taxes.

Est. impact: ~1.8% of CAC & 28bp of MSCI Europe 2027 NI

Buyback Tax

33% tax on buyback programmes, calculated on acquisition value of shares, **proposed by LFI**. Applicable to companies with revenues > €750mn.

Estimated impact: CAC's current buyback yield is c.0.8% with select companies yielding as high as 4-6%. While theoretically this measure would impact earnings as it is a tax on the company, more so, we anticipate it would disincentivize companies from rolling forward buyback programs.

Dividend Tax

Tax on excess 2026 & 2027 dividends vs the average of dividends paid between 2017-2019 **proposed by RN**. Applicable to companies with revenues > €750mn.

'Bands of excess':
- 20% tax for 1.25-1.5x the 2017-19 avg absolute dividend levels
- 25% tax for 1.5-1.75x the 2017-19 avg
- 33% tax for >1.75x the 2017-19 avg

Estimated impact: from ~0.3% to 1.0% of CAC market cap. CAC's current 2027e DY is 3.3% - with this additional tax, it could fall to 2.3%.

Calculations are made on the basis of multiple assumptions and interpretations and are preliminary estimates of how meaningful the taxes could be. On French revenue-PBT mismatch, the change in corporate tax calculation in particular is uncertain as it requires estimating the share of revenues and PBT exposed to France; in addition, the amendment proposed during the Budget 2026 process highlights that the tax would not apply to all cases; Source: Factset, Company Data, Morgan Stanley Research

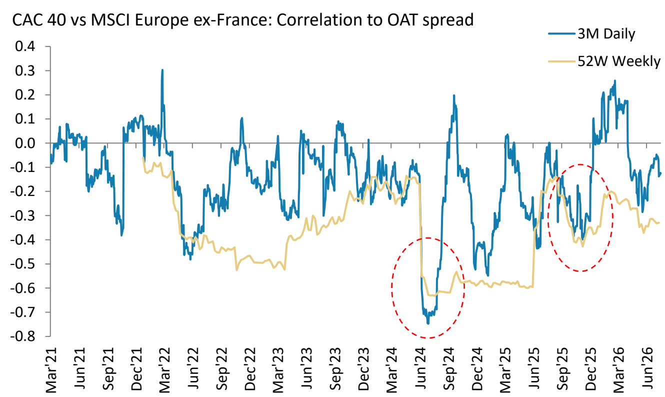
Exhibit 27: Our earlier analysis pointed to particularly high exposure among global stocks to past corporate tax proposals on 1) dividends, 2) buybacks and 3) French revenue-profits mismatch (caveat: specific proposals into elections are not yet clear)

	Ticker	Name	Sector	Mkt Cap (USDm)	2027e Div vs 2017-2019 avg	2027e DY	French revenue-PBT mismatch	2026e Buyback Yield	2027e Buyback Yield
1	TTE FP	TotalEnergies	Energy	144,089	1.3x	4.7%	medium	3.1%	3.0%
2	BNP FP	BNP Paribas	Banks	107,016	2.8x	6.1%	medium	1.1%	1.2%
3	CS FP	AXA	Insurance	99,873	1.6x	5.4%	medium	1.5%	1.4%
4	GLE FP	SocGen	Banks	63,120	1.8x	2.8%	high	6.1%	5.6%
5	SGO FP	St-Gobain	Construction	49,368	1.7x	3.3%	low	1.3%	1.3%
6	VIE FP	Veolia	Utilities	26,036	2.5x	4.3%	low	1.4%	0.6%
7	AC FP	Accor	Travel & Leisure	13,085	1.3x	3.0%	low	4.4%	3.6%
8	ERF FP	Eurofins	Business Svcs	15,486	4.3x	1.2%	low	2.2%	2.2%
9	EDEN FP	Edenred	Div Fins	5,109	1.7x	5.3%	low	0.8%	0.4%
10	SU FP	Schneider	Cap Goods*	162,760	2.2x	1.7%	-	0.3%	0.3%
11	AIR FP	Airbus	A&D	193,798	2.1x	1.5%	-	0.4%	0.9%
12	SAF FP	Safran	A&D	153,163	3.0x	1.3%	-	0.9%	0.8%
13	SAN FP	Sanofi	Pharma Biotech	115,888	1.3x	5.5%	-	2.4%	0.4%
14	DG FP	VINCI	Infrastructure	82,604	2.4x	5.2%	-	1.9%	1.6%
15	ENGI FP	ENGIE	Utilities	65,274	1.9x	5.1%	low	0.0%	0.0%
16	STMPA FP	STMicro	Semis	25,321	1.6x	0.7%	-	0.2%	0.2%
17	MT NA	Arcelor Mittal	M&M	35,794	2.0x	0.9%	-	1.4%	1.9%
18	PUB FP	Publicis	Media & Entm't	26,140	2.0x	4.5%	-	0.8%	0.8%
19	ACA FP	Credit Agricole	Banks	62,865	3.0x	6.8%	low	0.0%	0.0%
20	CAP FP	Capgemini	Software	28,611	2.1x	3.9%	-	3.0%	3.4%
21	FGR FP	Eiffage	Infrastructure	14,309	2.1x	7.7%	-	1.0%	1.1%
22	GET FP	Getlink	Infrastructure	10,281	2.7x	4.3%	low	0.0%	0.0%
23	ELIS FP	Elis	Business Svcs	6,601	1.4x	2.0%	-	2.7%	0.6%
24	FDJ FP	FDJ	Travel & Leisure	5,014	3.3x	9.6%	-	0.0%	0.0%
25	TEP FP	Teleperformance	Business Svcs	4,450	2.8x	8.4%	-	0.0%	0.0%

Source: Factset, Company Data, Morgan Stanley Research. Note: Profit exposure to France is an estimate for majority of companies. Calculations are made on the basis of multiple assumptions and interpretations and are preliminary estimates of how meaningful the taxes could be. On French revenue-PBT mismatch, the change in corporate tax calculation in particular is uncertain as it requires estimating the share of revenues and PBT exposed to France; in addition, the amendment proposed during the Budget 2026 process highlights that the tax would not apply to all cases. For important disclosures regarding covered companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. For important disclosures regarding non-covered companies that are the subject of this screen, please refer to the Disclosure Section, located at the end of this report

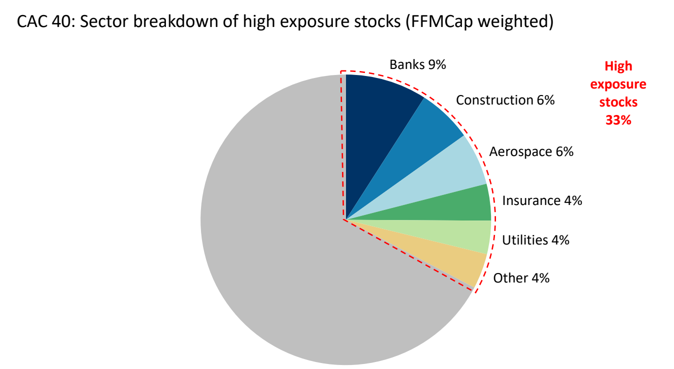
3) Fiscal risks - OAT spread correlations come into focus: Even more so than direct corporate taxes, one of the primary transmission mechanisms for French fiscal risks to equities has been French equities' rising correlation to the OAT spread during periods of elevated political uncertainty (e.g. snap parliamentary elections in 2024, PM no-confidence votes, budgets, etc.) - Exhibit 30 . We therefore also screen for stocks with a high correlation to the OAT spread coupled with material domestic exposure - Exhibit 31 . All in all, these stocks make up c. 33% of the CAC index weight. Hence when combining global stocks with high tax exposure and local stocks with high OAT spread correlations, much of the CAC index is exposed to French presidential elections.

Exhibit 28: Inverse correlations of French equities and the OAT spread tend to spike during periods of French domestic political uncertainty



Source: LSEG Data & Analytics, Morgan Stanley Research

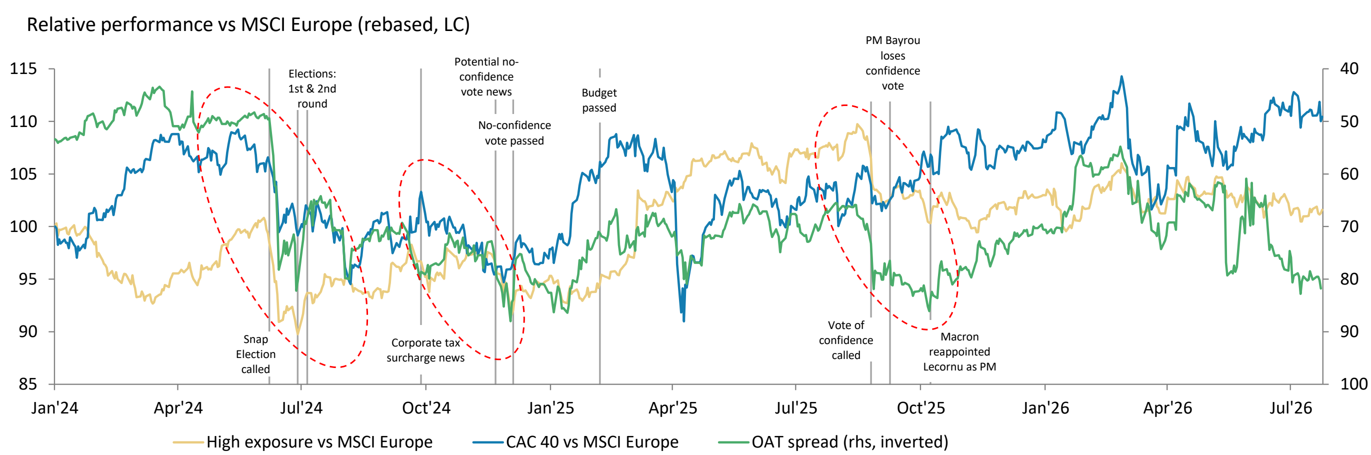
Exhibit 29: We estimate that one-third of the CAC40 index has high direct correlations to the OAT spread along with high domestic exposure



Source: LSEG Data & Analytics, Morgan Stanley Research. Note: High exposure stocks includes top 30 stocks based on combination of revenue exposure to France, 3-month correlations to OAT spreads in July 2024 and November 2025, stock price decline from Jun 7-14, 2024 and from Aug 22 to Sep 2, 2025.

Exhibit 30:

Domestically sensitive French stocks tend to underperform the European index during periods of French political uncertainty but, zooming out, tend to resume a focus on idiosyncratic drivers outside these events (e.g. range-bound versus the index overall)



Source: Company data, Factset, LSEG Data & Analytics, Morgan Stanley Research. Note: High exposure stocks include top 30 stocks based on combination of revenue exposure to France, 3-month correlations to OAT spreads in July 2024 and November 2025, stock price decline from Jun 7-14, 2024 and from Aug 22 to Sep 2, 2025.

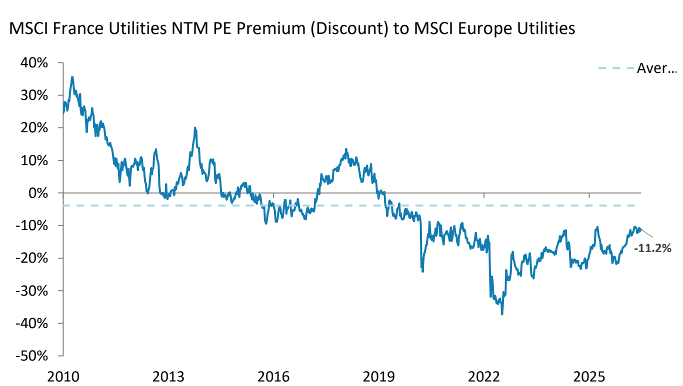
Exhibit 31: Stocks with highest French OAT spread correlations along with high domestic revenues

#	Ticker	Company	Sector	MS Rating	Last Price (LC)	France Revenue Exposure	Performance (LC) 7-14 June 2024	Performance (LC) 22 Aug - 2 Sep 2025	Correlation to OAT spread (3M) Jul-24	Correlation to OAT spread (3M) Nov-25
1	FGR FP	Eiffage SA	Construction	OW	122.0	64%	-14.7	-17.1	-0.62	-0.58
2	SPIE FP	SPIE SA	Business Services	OW	48.4	34%	-14.4	-11.8	-0.60	-0.47
3	DG FP	VINCI SA	Construction	EW	118.4	42%	-11.4	-12.4	-0.65	-0.56
4	ADP FP	Aeroports de Paris	Transportation	OW	106.4	68%	-14.4	-10.9	-0.52	-0.51
5	GLE FP	Societe Generale SA	Banks	OW	77.2	44%	-14.9	-9.2	-0.50	-0.57
6	ACA FP	Credit Agricole SA	Banks	EW	18.5	46%	-11.0	-9.7	-0.46	-0.57
7	VIE FP	Veolia Environnement SA	Utilities	EW	36.6	20%	-9.8	-9.2	-0.56	-0.44
8	BNP FP	BNP Paribas S.A.	Banks	EW	105.9	26%	-12.0	-8.9	-0.51	-0.48
9	ENGI FP	ENGIE S.A.	Utilities	OW	27.8	45%	-11.5	-7.5	-0.46	-0.45
10	CS FP	AXA SA	Insurance	OW	44.8	25%	-11.3	-8.0	-0.54	-0.49
11	EN FP	Bouygues SA	Construction	EW	47.5	51%	-11.1	-8.0	-0.44	-0.47
12	SGO FP	Compagnie de Saint-Gobain SA	Construction	OW	74.2	26%	-9.3	-7.8	-0.52	-0.44
13	ALD FP	Ayvens	Transportation	NC	11.6	16%	-16.9	-8.8	-0.48	-0.19
14	AMUN FP	Amundi SA	Diversified Financials	EW	87.6	45%	-8.6	-6.9	-0.57	-0.31
15	GFC FP	Gecina SA	Real Estate	UW	74.0	100%	-8.2	-7.6	-0.47	-0.32
16	ALO FP	Alstom SA	Capital Goods ex-A&D/Const.	EW	16.0	19%	-12.4	-10.9	-0.35	-0.41
17	GET FP	Getlink SE	Transportation	OW	18.9	50%	-5.8	-8.1	-0.43	-0.36
18	EDEN FP	Edenred SA	Diversified Financials	OW	26.4	20%	-12.4	-10.9	-0.39	-0.05
19	COV FP	Covivio SA	Real Estate	UW	53.1	30%	-7.6	-7.9	-0.36	-0.42
20	HO FP	Thales SA	Defence	EW	236.4	29%	-13.0	-5.2	-0.51	-0.15
21	VLTSA FP	Voltalia SA	Real Estate	UW	6.8	41%	-13.0	-9.5	-0.38	-0.01
22	AF FP	Air France-KLM SA	Travel & Leisure	OW	11.7	51%	-7.3	-14.6	-0.27	-0.24
23	URW FP	Unibail-Rodamco-Westfield SE	Real Estate	EW	104.9	35%	-8.7	-5.7	-0.44	-0.25
24	LI FP	Klepierre SA	Real Estate	UW	38.6	40%	-4.3	-7.4	-0.43	-0.40
25	RXL FP	Rexel SA	Capital Goods ex-A&D/Const.	OW	37.6	20%	-9.1	-3.2	-0.34	-0.54
26	TEP FP	Teleperformance SE	Business Services	EW	56.3	3%	-10.8	-10.3	-0.32	-0.08
27	KSP ID	Kingspan Group Plc	Construction	OW	76.1	15%	-6.6	-6.3	-0.37	-0.29
28	ORA FP	Orange SA	Telecommunication Services	EW	16.2	59%	-7.6	-4.8	-0.26	-0.28
29	SAF FP	Safran SA	Aerospace	EW	329.8	19%	-5.7	-3.8	-0.41	-0.32
30	AC FP	Accor SA	Travel & Leisure	EW	46.3	20%	-5.0	-8.4	-0.36	-0.29

Source: Company data, Factset, LSEG Data & Analytics, Morgan Stanley Research. Note: Share prices as of 27 July 2026. For important disclosures regarding covered companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. For important disclosures regarding non-covered companies that are the subject of this screen, please refer to the Disclosure Section, located at the end of this report

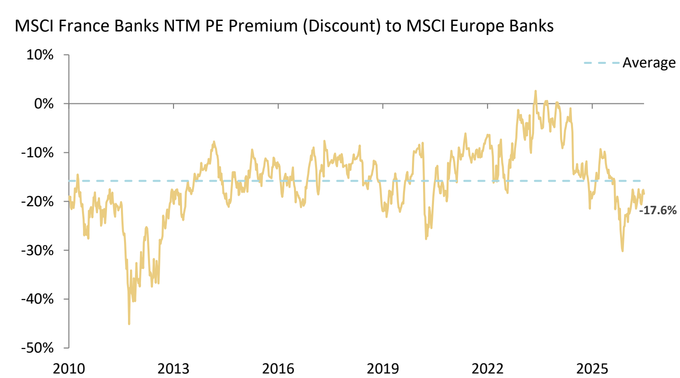
But don't French stocks already trade at a discount and, hence, are pricing some element of political risk in? Yes. For example, French Banks trade at a c. 18% discount on NTM P/E to European banks, French Utilities trade at an 11% discount to European Utilities. Hence we view political uncertainty as more of an overhang that may prevent investors from adding as the event approaches, than a major trigger of sustained selling pressure.

Exhibit 32: MSCI France Utilities NTM P/E premium (discount) to MSCI Europe Utilities



Source: LSEG Data & Analytics, IBES, Morgan Stanley Research

Exhibit 33: MSCI France Banks NTM P/E premium (discount) to MSCI Europe Banks



Source: LSEG Data & Analytics, IBES, Morgan Stanley Research

Rates Strategy: Expect Further Underperformance, Albeit Contained

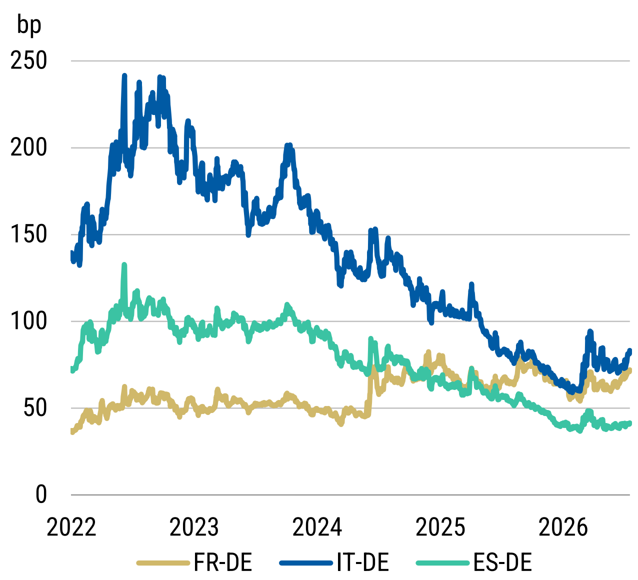
Luca Salford, Maria Chiara Russo, Jasper Knyphausen

Market performance: current and expected trends

We believe that France's relative underperformance vs peers, which started in 2024, will continue in the coming months, but that its extent will be modest.

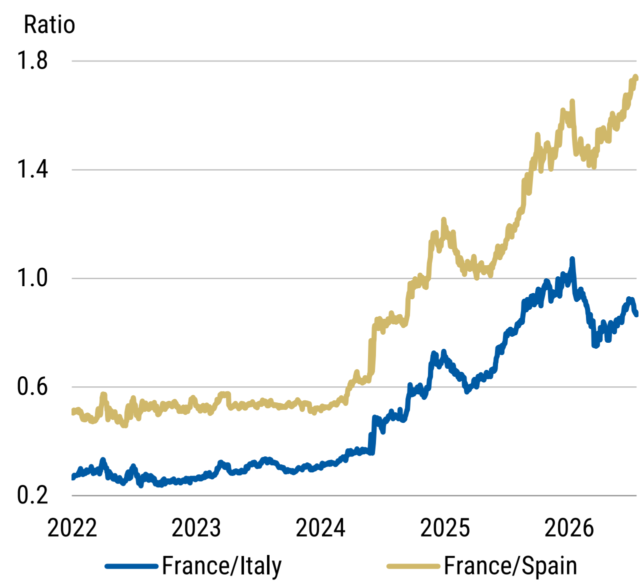
French bonds have been underperforming peers for most of the past few years (Exhibit 34 and Exhibit 35), and we attribute the bulk of that underperformance to macro developments.

Exhibit 34: French bonds have been underperforming within the EGB space



Source: Bloomberg, Morgan Stanley Research. 10y spread

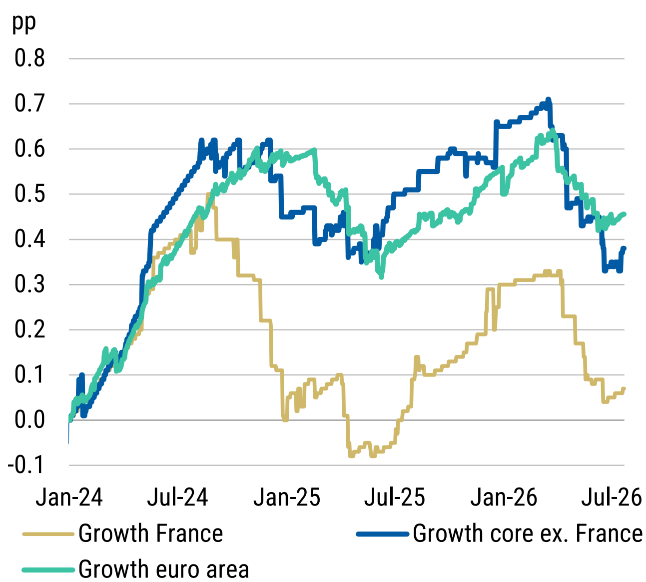
Exhibit 35: France's underperformance is even more apparent in relation to Italy/Spain and Germany



Source: Bloomberg, Morgan Stanley Research. Note: Chart shows the ratio of 10-year spreads to Germany between France and Italy or Spain, respectively.

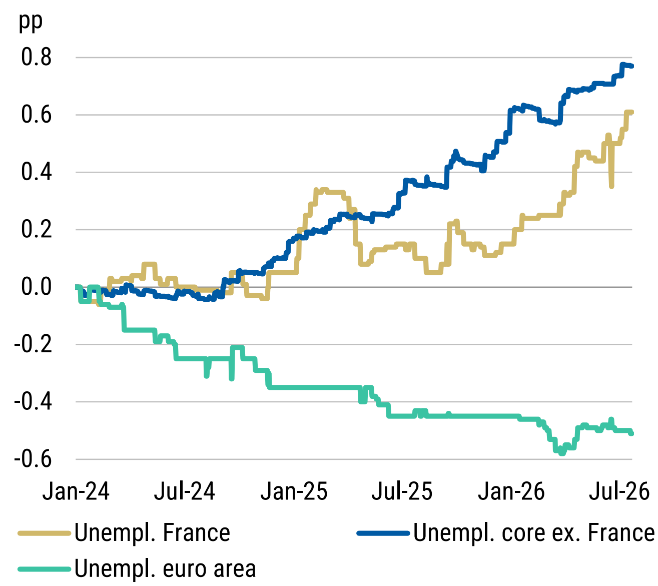
Exhibit 31 to Exhibit 38 show changes in consensus expectations for 1-year-ahead growth, unemployment rate and budget balance since 2024. France underperformed other core countries on growth, delivered marginally better on unemployment, and significantly better on the deficit (helped by unexpected fiscal easing in Germany). However, compared to the euro area as a whole, the performance is worse, explaining the relative market underperformance versus Spain and Italy.

Exhibit 36: Cumulative changes in 1y-ahead GDP growth expectations: France underperformance



Source: Bloomberg, Morgan Stanley Research. Note: Chart shows the cumulative change since 1 January 2024 in one year ahead interpolated Bloomberg consensus expectations for GDP. As core countries other than France, we include Germany, the Netherlands, Belgium, Austria and Finland.

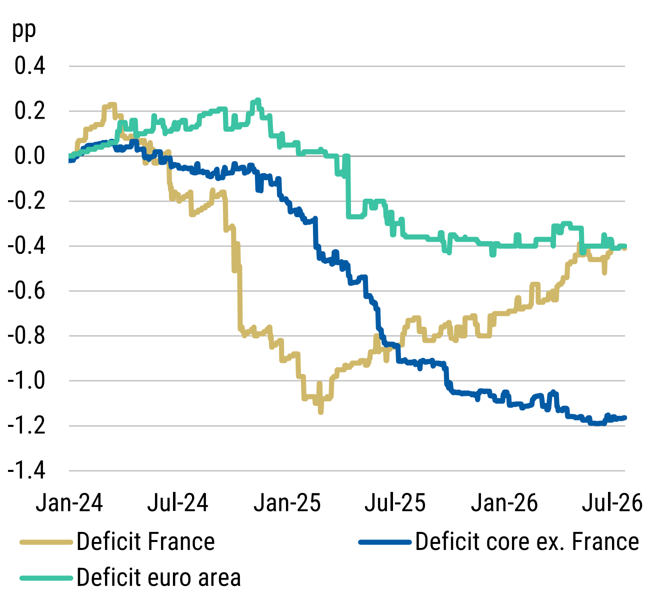
Exhibit 37: Cumulative changes in 1y-ahead unemployment rate expectations: France tracking other core countries, but other parts are doing better



Source: Bloomberg, Morgan Stanley Research. Note: Chart shows the cumulative change since 1 January 2024 in one year ahead interpolated Bloomberg consensus expectations for unemployment. As core countries other than France, we include Germany, the Netherlands, Belgium, Austria and Finland.

Looking ahead, our macro forecasts for France are worse than consensus (Exhibit 39). We are broadly in line with consensus with regards to real GDP growth, but are one-tenth higher than consensus on 2026 deficit/GDP delivery (see 2026 Public Deficit: More Than Expected), and even wider for 2027. We also expect a higher unemployment rate than consensus.

Exhibit 38: Cumulative changes in 1y-ahead budget balance expectations: France has improved recently



Source: Bloomberg, Morgan Stanley Research. Note: Chart shows the cumulative change since 1 January 2024 in one year ahead interpolated Bloomberg consensus expectations for the budget balance. As core countries other than France, we include Germany, the Netherlands, Belgium, Austria and Finland.

Exhibit 39: Overall our macro forecasts are worse than consensus

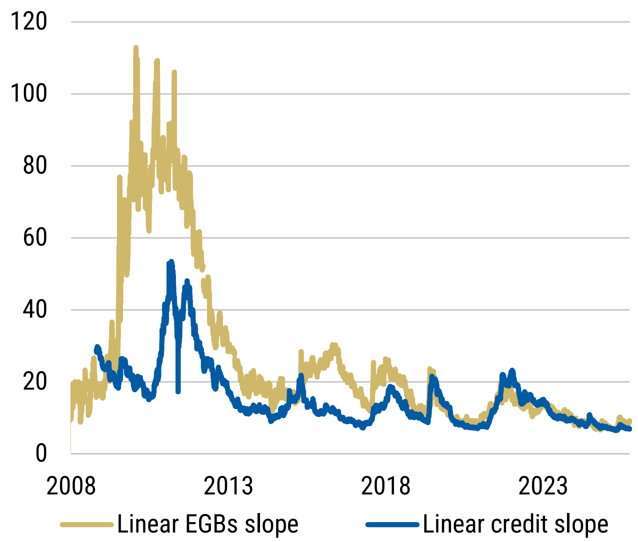
	2026		2027	
	Cons.	MS	Cons.	MS
GDP growth (YoY %)	0.6	0.6	0.9	0.8
Unemployment rate (%)	8.2	8.7	8	8.8
Budget balance (% of GDP)	-5.1	-5.2	-4.9	-5.2

Source: Bloomberg, Morgan Stanley Research

In addition to macro delivery, the approximation of a series of uncertain events is likely to contribute to widening pressure. As discussed in the sections above, there is considerable uncertainty over the approval of the budget by early October, with the deadline being missed in the last two years. In any case, as shown above, there is a strong possibility that another budget will be presented if a new majority emerges in the new parliament.

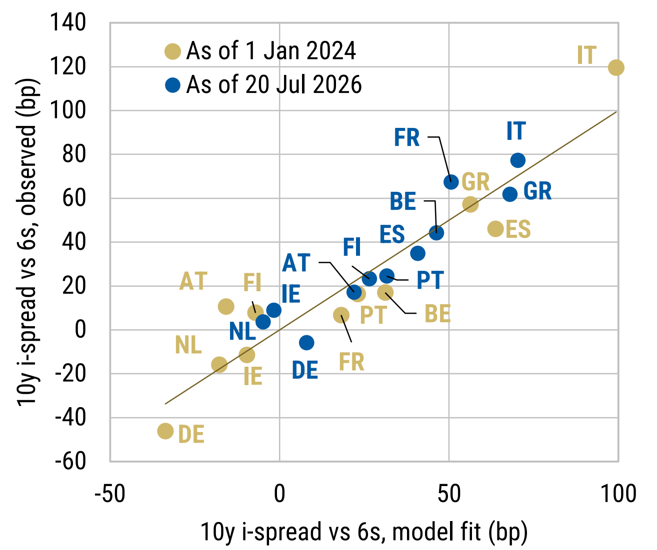
Moreover, the political landscape next year is highly uncertain, with 1) lack of clarity on who will make it to the second round of the presidential election, given current polls; 2) tight expected match-ups in the second round contrary to some previous elections (for instance, the spread in second-round votes between Macron and Le Pen was 17.1% in 2022, and 32.3% in 2017); and 3) as discussed in the section above, typically, polling intentions vary significantly in the months leading up to the vote.

Exhibit 40: Risk appetite remains quite robust overall in EGBs and credit markets, limiting the amount of relative underperformance of France we expect



Source: Bloomberg, Morgan Stanley Research. Note: EGB and credit slopes are estimated daily using a cross-sectional regression of spreads against numerical rating scores. EGB estimates are based on the big four euro-area sovereigns, while credit estimates use euro-area aggregate corporate benchmark spreads.

Exhibit 41: Contrary to early 2024, our cross-sectional fair value model flags France as cheap



Source: Bloomberg, Morgan Stanley Research. Note: the model is based on a cross-sectional regression of i-spreads vs rating index for top three rating agencies, 1y fwd debt/GDP expectations and 1y fwd budget balance/GDP expectations.

Our forecasts, presented in our Mid-Year Outlook, assume relative underperformance for France, albeit fairly contained (~10bp). There were two reasons for this. 1) Risk appetite remains quite robust overall. As shown in Exhibit 40 , we proxy risk appetite by the fitted value of a rating notch on EGB and spreads in a rolling cross-market regression. As long as overall risk appetite remains robust, the kind of macro and political developments we envisage are unlikely to have dramatic impact on French spreads. 2) We believe part of this uncertainty is already in the price. Exhibit 41 shows the latest version of our three-factor model compared to early 2024. At the moment, our model is showing France cheap by ~17bp, vs -11bp rich in early 2024.

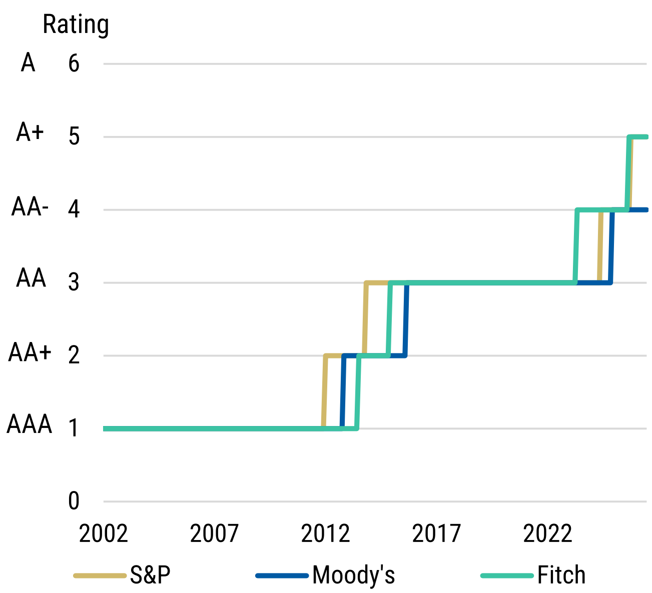
Below, we cover ratings, demand and supply.

Ratings: we expect one more downgrade, but limited impact

France's relative macro deterioration has been reflected in ratings drifting toward the A area since the Global Financial Crisis (Exhibit 42). We covered the impact of ratings downgrades on demand for French debt in a thorough piece last year: Rating Downgrades Implications for French Assets. Our conclusion was that, despite some categories of investors being sensitive to ratings, the implications were limited in practice.

Exhibit 43 shows the ratings calendar for the reminder of the year. We expect Moody's to downgrade France in October without much impact on market prices, as Moody's has typically lagged S&P and Fitch.

Exhibit 42: France's credit ratings have been deteriorating over the past 20 years



Source: Bloomberg, Morgan Stanley Research. Rating index: AAA/Aaa=1, AA+/Aa1=2, AA/Aa2=3, AA-/Aa3=4, A+/A1=5, A/A2=6.

Exhibit 43: We expect Moody's to downgrade France in October

Date	Rating agency	Current	Outlook
28-Aug-26	Fitch	A+	stable
23-Oct-26	Moody's	Aa3	negative
27-Nov-26	S&P	A+	stable

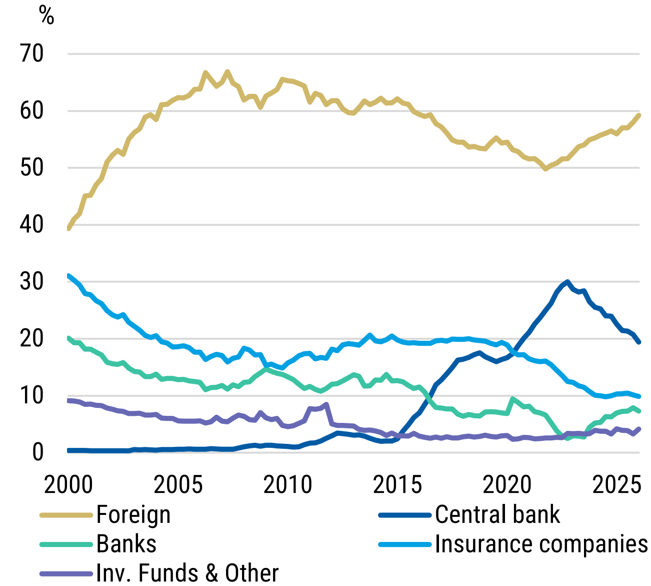
Source: Bloomberg, Morgan Stanley Research

Demand: four phases since the creation of the euro

Since the introduction of the euro, there have been four distinct phases for demand for French public debt: 1) internationalisation until the GFC, 2) broad stability until the beginning of QE in 2015, 3) crowding out from QE until QT in 2022, and 4) rebalancing under QT (Exhibit 44).

We find it useful to analyse more in detail investors' behaviour in the QE and QT regimes (Exhibit 45). Unsurprisingly, ownership percentage mirrors QE/QT activity for foreign investors, banks and investments funds, down with QE and up with QT. However, domestic insurance companies kept on reducing their footprint and have maintained stable ownership around 10% for the past few quarters, suggesting some stabilisation.

Exhibit 44: Demand for French public debt has followed four phases since the introduction of the euro



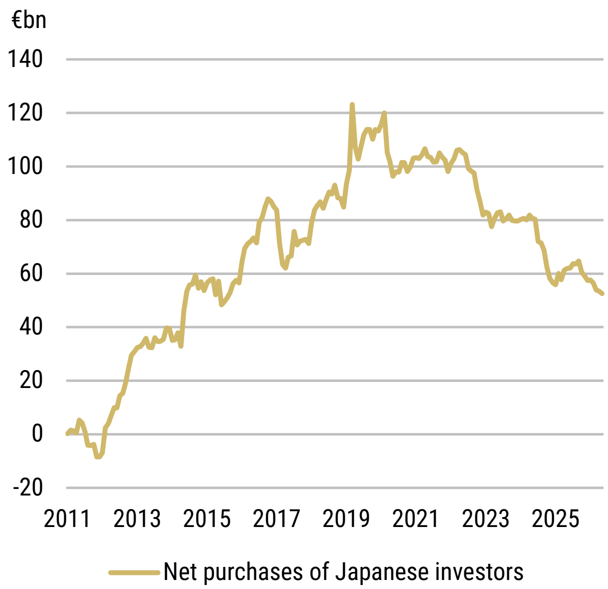
Source: ECB, Morgan Stanley Research

Exhibit 45: Ownership % mirrors QE/QT activity for foreign investors, banks, investments funds, but insurance companies have continued to reduce their footprint

	Foreign	Central bank	Banks	Insurance companies	Inv. Funds	Other
14Q4-22Q3	-16%	1331%	-77%	-34%	-16%	-28%
22Q3-26Q1	15%	-34%	151%	-27%	13%	99%
Memo: current stock	59%	19%	7%	10%	2%	3%

Source: ECB, Morgan Stanley Research

Exhibit 46: Japanese investors increased their exposure during QE, but overall have been reducing exposure during the recent QT period



Source: Haver Analytics, Morgan Stanley Research

Among foreign investors, we think it worth highlighting the contrarian behaviour of Japanese investors, who increased their exposure during QE, but have overall been reducing exposure during the recent QT period (Exhibit 46). Net purchases of French government paper since 2011 are now down to ~€50bn from a peak above €120bn. As we have written a few times before, we believe the potential role of Japanese flows is overstated in conversations with clients, after years of reduction and a generally small footprint in the EGB market.

Issuance: gradually less reliance on the long end

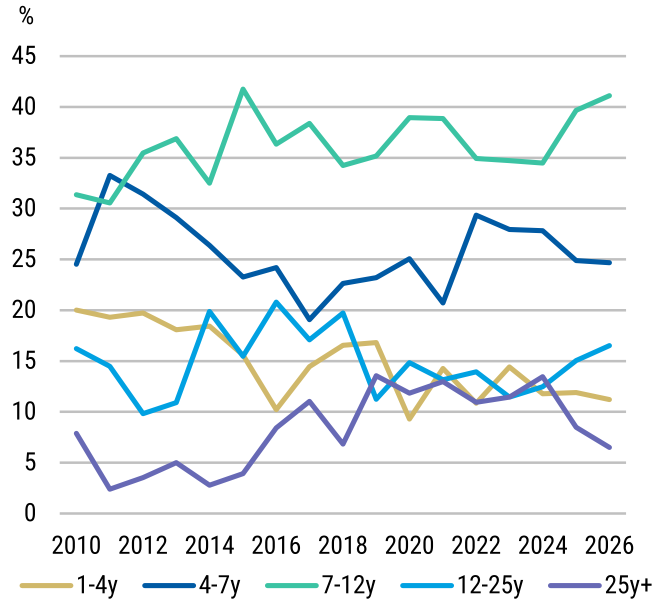
France's fiscal deterioration has been accompanied by a sharp increase in sovereign issuance over the years. Based on our estimates, annual gross funding has risen from around €200-210bn in the early 2010s to an expected ~€355bn in 2026, leaving France just €20bn short of Italy's issuance volume (Exhibit 47).

Exhibit 47: Annual gross funding for France has risen from around €200-210bn in the early 2010s to an expected ~€355bn in 2026

	Gross			Net			Net/Net of QT		
Countries	**2026**	**2025**	**Y/Y %**	**2026**	**2025**	**Y/Y %**	**2026**	**2025**	**Y/Y %**
Germany	348	291	20%	135	100	35%	230	195	18%
France*	355	348	2%	183	182	1%	246	246	0%
Italy*	375	374	0%	125	138	-9%	201	196	3%
Spain	177	171	3%	56	57	-1%	83	94	-12%
Netherlands	50	40	25%	21	20	5%	25	37	-33%
Belgium*	52	46	13%	25	25	1%	32	35	-8%
Ireland	12	8	45%	0	-3	-111%	5	2	233%
Austria	45	45	0%	13	23	-44%	16	27	-42%
Portugal	24	22	9%	15	8	76%	16	9	90%
Finland	26	27	-3%	15	15	-3%	16	21	-25%
Greece	8	8	3%	2	5	-72%	2	7	-69%
Total EA11	**1,472**	**1,379**	**7%**	**590**	**569**	**4%**	**873**	**869**	**0%**

Source: Countries' DMOs, Bloomberg, Morgan Stanley Research estimates *. Countries are ranked by 2025 GDP.* For France, Italy and Belgium, we report net issuance inclusive of buybacks.

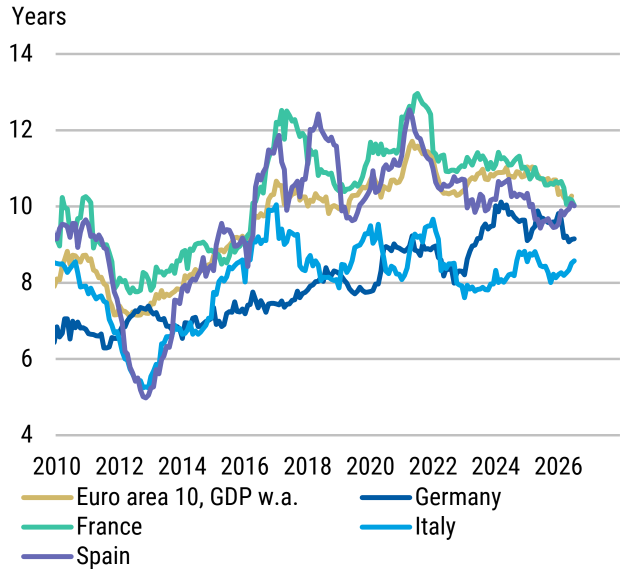
Exhibit 48: The maturity composition of France issuance has remained broadly stable



Source: Bloomberg, AFT, Morgan Stanley Research

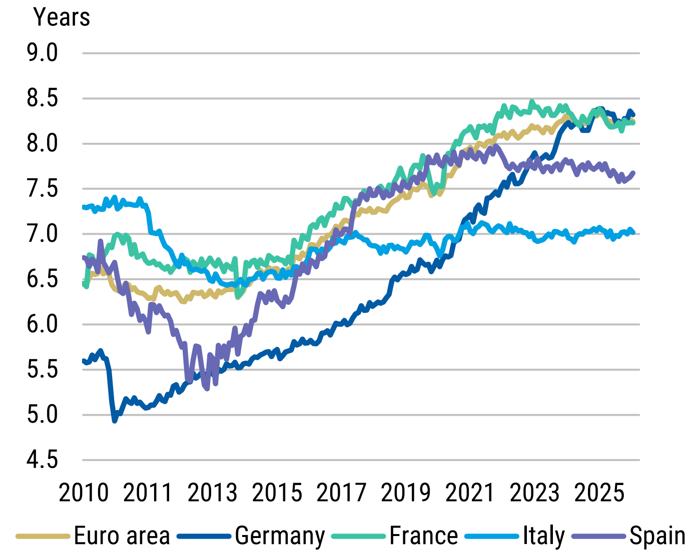
Despite the sharp increase in issuance over the years, the maturity composition has remained broadly stable. The 7-12y sector continues to account for the largest share of issuance, at around 35-40%, followed by the 4-7y sector (Exhibit 48). More recently, issuance has shifted from the 25y+ segment towards the 12-25y bucket, after the QE-induced boost since 2016. However, this reflects a broader trend across the euro area (see the decline in WAM in Exhibit 49) as DMOs gradually adapt their funding strategies to a different market environment.

Exhibit 49: WAM of issuance is on a gentle declining trend



Source: Countries' DMOs, Bloomberg, Morgan Stanley Research. Note: Chart shows WAM calculated over 12 month rolling periods.

Exhibit 50: WAM of debt outstanding has been stable



Source: ECB, Haver Analytics, Morgan Stanley Research

France, like many euro area sovereigns, steadily extended both the maturity of new issuance and the average maturity of its debt stock (Exhibit 50), reversing the shortening observed in the aftermath of the Lehman and sovereign debt crises. In the post-Lehman environment, the search for yield, ECB asset purchases, and strong demand for duration – notably from Dutch pension funds seeking to increase hedge ratios – likely contributed to a significant compression in term premia. Against this backdrop, deeply negative real yields across large parts of the curve encouraged issuers to lock in historically favourable borrowing costs at longer maturities.

More recently, however, this trend has started to reverse amid a new environment of higher yields, a different curve shape and elevated long-end volatility (see more in our Mid-Year Outlook).

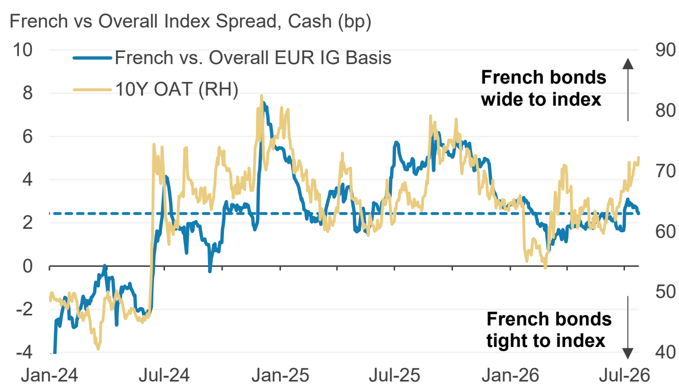
Credit Strategy: Sovereign Spillover Underpriced

Aron Becker, Ellie Dann, Jonathan Loke, Yagyesh Modi

Weak fiscal trajectory, a difficult path to a 2027 budget, increasing election-related uncertainty and a deteriorating ratings outlook underscore our economists' expectations for the coming months, which should lead to continued upward pressure on sovereign spreads, as our rates colleagues highlight above.

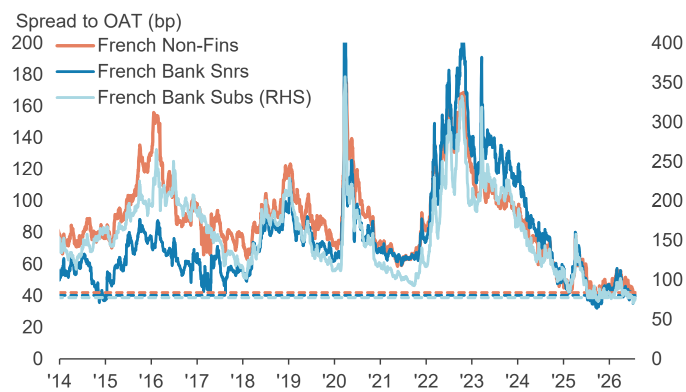
Yet within corporate credit, French risk premia have not kept pace with the recent underperformance of OATs, leaving French corporate credit exposed to further widening in sovereign spreads (Exhibit 51). In fact, the French corporates-sovereign yield differentials have now dropped close to decade tights (Exhibit 52). We expect the historical correlations to reassert themselves as we head into the autumn.

Exhibit 51: French corporate credit lagged the recent widening in OATs...



Source: Bloomberg, IHS Markit, Morgan Stanley Research

Exhibit 52: ...leaving French corporate-sovereign yield differentials at a decade tight

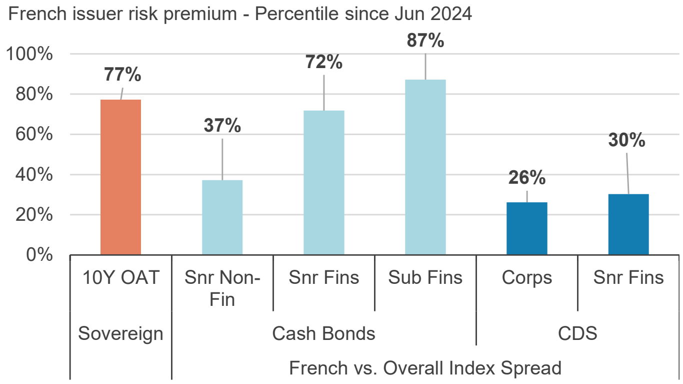


Source: Bloomberg, IHS Markit, Morgan Stanley Research

Within credit, we are seeing some divergence in French risk premia across cash and CDS, and between corporates and financials. To assess relative valuations, we show the percentile rank of each French risk premium (defined as the spread differential between French issuers and the relevant broader index) relative to its own history since the snap elections were announced in June 2024 (Exhibit 53). Within cash bond markets, French financials have kept a closer pace with the moves in OATs, while non-financial corporates screen relatively rich. However, in CDS, the regional risk premiums look particularly subdued across both financials and corporates. While the OAT spread to Bunds is at its 80th percentile versus the past two years, French corporate risk premia in CDS are at their 30th percentile.

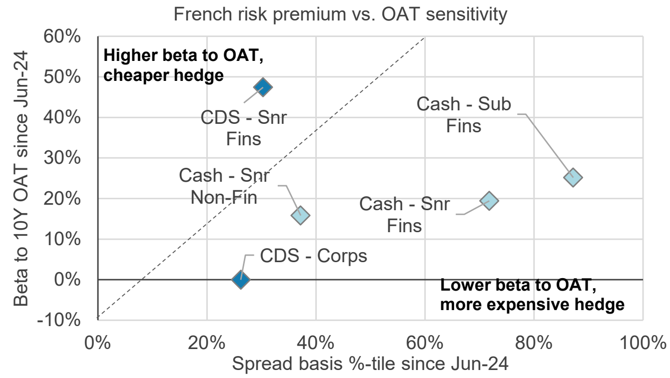
It is possible that valuations simply reflect a lack of correlation between corporate and sovereign French risk premiums. Indeed, French non-financial CDS has been much less correlated with OATs. Instead, the difference between French senior financial CDS relative to iTraxx Senior Fins basis screens both as having a strong beta to 10Y OATs and as being tight versus recent history (Exhibit 54).

Exhibit 53: French risk has already underperformed the moves in OATs in cash credit…



Source: Bloomberg, IHS Markit, Morgan Stanley Research

Exhibit 54: …with the risk premium in French bank senior CDS screening cheap despite high beta to OATs



Source: Bloomberg, IHS Markit, Morgan Stanley Research

In addition to relatively high correlations and recent strong outperformance, French banks also have a more direct spillover risk from the sovereign through the credit rating channel. We find that a one-notch sovereign downgrade by S&P, Moody's or Fitch could mechanically translate into ratings downgrades for some French issuers, in particular to banks.

Having reviewed ~90 of the largest French investment grade issuers' ratings reports, we found that **12 issuers (with total face value comprising 8% of EUR IG and 40% of French EUR IG)** whose latest rating reports **explicitly highlight sovereign downgrade as a potential downgrade factor**. Of those, **eight have a sovereign downgrade cited as a possible downgrade factor by Moody's**, which currently has France on negative outlook and has assigned a sovereign rating one notch higher than S&P and Fitch. **Seven of these issuers are French banks** (Crédit Agricole, BFCM, BNP Paribas, BPCE, Crédit Mutuel Arkea, La Banque Postale and Société Générale), suggesting **a higher sensitivity of banks to sovereign downgrade risk compared to non-financials.**

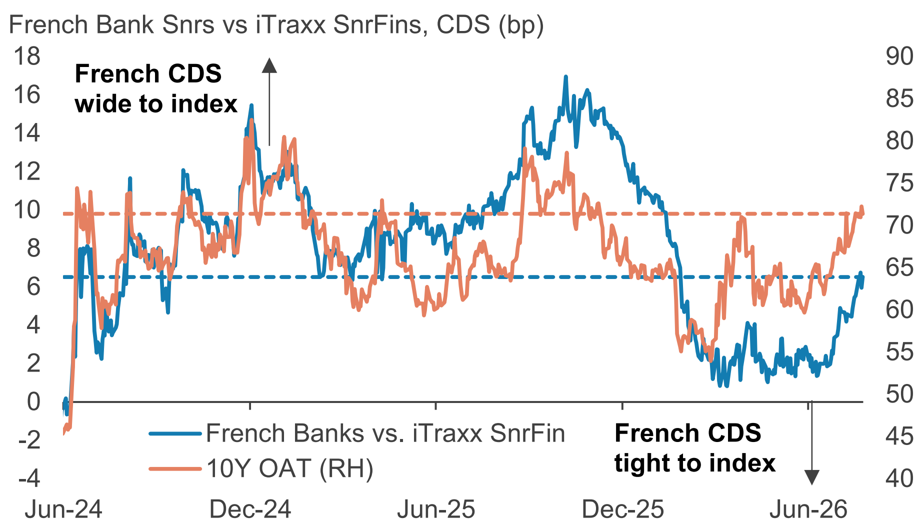
Exhibit 55: French issuers whose latest credit rating reports highlight a sovereign downgrade as a potential downgrade factor

	Ticker	Long-Term Rating			% Index		Sovereign Downgrade a Downgrade Factor?			Notes
		S&P	Moody's	Fitch	EUR IG	French EUR IG	S&P	Moody's	Fitch	
Financial	ACAFP	A+	A1	AA-	1.3%	6.3%	N	N	Y	*Fitch (Dec 18, 2025):* "A further downgrade of France's sovereign rating to 'A' from 'A+' would result in a downgrade of CA's ratings"
	BFCM	A+	A1	AA-	1.3%	6.8%	N	Y	N	*Moody's (May 26, 2026):* "The bank's senior unsecured debt ratings could also be downgraded if the Government of France's rating is downgraded"
	BNP	A+	A1	AA-	1.3%	6.4%	N	Y	Y	*Moody's (Apr 24, 2026):* "BNPP's senior unsecured debt ratings could be downgraded...because of a downgrade of the Government of France's sovereign rating" *Fitch (May 12, 2026):* "The IDRs of BNPP, BNPP Fortis and BGL BNPP would be downgraded...if France is downgraded"
	BPCEGP	A+	A2	A+	1.0%	4.9%	N	N	Y	*Fitch (May 12, 2026):* "BPCE S.A.'s deposit ratings would be downgraded for the same reasons as GBPCE's IDRs or if France is downgraded."
	CMARK	A1	A1	A+	0.4%	1.8%	Y	Y	Y	*Moody's (May 28, 2026):* "The bank's long-term issuer and senior unsecured debt ratings could also be downgraded if the Government of France's rating is downgraded." *S&P (Dec 23, 2025):* "... will likely be downgraded in the case of another sovereign downgrade." *Fitch (May 12, 2026):* "...Their IDRs would also be downgraded if France is downgraded."
	FRLBP	A	A2	A	0.2%	1.2%	N	Y	N	*Moody's (May 7, 2026):* "The BCA could also be downgraded if CNP's IFSR were to be downgraded, or if the relative weight of the banking operations were to increase substantially." *Moody's (CNP, Jun 12, 2025):* "Material weakening of the credit quality of the Government of France...would also place downward rating pressure on the ratings."
	SOCGEN	A	A1	A+	0.9%	4.4%	N	Y	N	*Moody's (Dec 12, 2025):*"... a downgrade of France's sovereign debt rating of Aa3 could also lead to a downgrade of SG's deposit and senior unsecured debt ratings, all other things being equal."
	CNPFP	A	A3	A	0.1%	0.7%	N	Y	N	*Moody's (Jun 12, 2025):* "Material weakening of the credit quality of the Government of France...would also place downward rating pressure on the ratings."
Corporate	ORAFP	BBB+	Baa1	BBB+	0.8%	4.0%	N	Y	N	*Moody's (Jun 25, 2026):* "Significant changes in the sovereign rating or changes in our assessment of default dependence and support, such as the government's equity stake (economic rights) falling below 20%, could also trigger a one-notch rating downgrade."
	SNCF	A	A1	A+	0.4%	2.0%	Y	Y	N	*Moody's (Nov 7, 2025):* "Factors that could lead to a downgrade...A downgrade of the sovereign rating" *S&P (Jun 4, 2026):* "We would consider a negative action on SNCF if...We took a negative rating action on the sovereign rating on France"
	FRPTT	A	-	A+	0.3%	1.4%	Y	N	N	*S&P (Feb 4, 2026):* "We would lower our ratings on LP if we lowered our ratings on France."
	CTEFRA	BBB+	-	-	0.1%	0.4%	Y	N	N	*S&P (May 13, 2026):* "We could lower our rating on CTE if the sovereign rating on France were lowered"
	Financials				**6.5%**	**32.5%**				
	Corporates				**1.6%**	**7.8%**				
	Fins + Corps				**8.0%**	**40.4%**				

Source: Bloomberg, Fitch Ratings, Moody's, S&P Global, Morgan Stanley Research. Note: This table lists excerpts from recent rating agency reports that pertain only to the negative ratings impact of a sovereign downgrade.

We thus continue to recommend investors position for a move wider in OATs by buying protection on French Bank CDS versus selling protection on iTraxx Senior Financials, currently trading at only +6bp (Exhibit 56), a trade we entered earlier this summer (see What We're Watching, July 6, 2026).

Exhibit 56: The basis between French and overall senior financials remains tight relative to the sovereign



Source: Bloomberg, IHS Markit, Morgan Stanley Research

On the cash side, for investors looking to position for further regional weakness in France, we think a good starting point is bonds that already screen tight versus OATs, as they could come under insurer selling pressure given the higher capital requirement for holding corporate bonds versus the domestic sovereign. We provide a screen of bonds trading tightest to their maturity-matched OAT, split by ratings and maturity cohorts, in Exhibit 58 .

A longer list, as well as screens on the opposite end of the scale, is available upon request.

Exhibit 57: Screening for bonds issued by French corporates with the tightest spreads to OATs

	Security	Sector	Composite Rtg	Yield (%)	OAS (bp)	Spread to OAT (bp) Current	Spread to OAT (bp) Δ YTD
BBB							
1-3y	CAFP 2 5/8 12/15/27	Retail	BBB2	2.89	11	11	-17
	BNFP 1.208 11/03/28	Consumer Goods	BBB1	3.08	18	11	+3
	ENGIFP 1 3/8 02/28/29	Utility	BBB1	3.14	24	14	-11
	RIFP 3 1/4 11/02/28	Consumer Goods	BBB1	3.14	23	17	-3
	VIEFP 1 1/2 04/03/29	Utility	BBB1	3.20	29	19	-11
3-5y	RIFP 0 7/8 10/24/31	Consumer Goods	BBB1	3.45	33	9	-23
	BNFP 0.52 11/09/30	Consumer Goods	BBB1	3.33	29	12	+3
	AKEFP 0 3/4 12/03/29	Basic Industry	BBB1	3.27	31	19	-9
	SGOFP 1 7/8 03/15/31	Basic Industry	BBB1	3.49	42	19	-2
	CAFP 2 3/8 10/30/29	Retail	BBB2	3.27	31	21	-8
5-7y	EDF 5 5/8 02/21/33	Utility	BBB1	3.65	44	12	-25
	BNFP 3.071 09/07/32	Consumer Goods	BBB1	3.57	37	13	-8
	ENGIFP 2 1/8 03/30/32	Utility	BBB1	3.57	41	17	-13
	ORAFP 8 1/8 01/28/33	Telecommunications	BBB1	3.69	49	17	-4
	SGOFP 2 5/8 08/10/32	Basic Industry	BBB1	3.64	45	21	-2
7-10y	ENGIFP 1 10/26/36	Utility	BBB1	3.97	44	5	-22
	ORAFP 1.2 07/11/34	Telecommunications	BBB1	3.83	50	14	-4
	VIEFP 6 1/8 11/25/33	Utility	BBB2	3.76	51	14	-16
	SGOFP 3 5/8 04/08/34	Basic Industry	BBB1	3.81	50	17	-13
	ADPFP 3 3/4 03/20/36	Transportation	BBB1	4.04	59	19	-3
10-15y	ENGIFP 1 3/8 06/21/39	Utility	BBB1	4.24	51	12	-27
	FDJFP 3 5/8 11/21/36	Leisure	BBB1	4.07	56	15	-14
	ORAFP 3 3/4 05/13/38	Telecommunications	BBB1	4.18	56	15	-14
	ADPFP 2 1/8 10/11/38	Transportation	BBB1	4.22	55	16	-4
	URWFP 2 05/29/37	Real Estate	BBB1	4.18	60	20	-22
15y+	ORAFP 1 3/8 09/04/49	Telecommunications	BBB1	4.32	24	-16	-2
	ATROTE 2.485 07/31/46	Transportation	BBB2	4.56	92	14	+6
	ENGIFP 4 1/4 03/06/44	Utility	BBB1	4.62	75	27	-18
	URWFP 1 3/4 07/01/49	Real Estate	BBB2	4.84	77	36	-18
	EDF 4 5/8 01/25/43	Utility	BBB1	4.79	96	48	-28
A							
1-3y	EDENFP 1 3/8 06/18/29	Financial Services	A3	2.83	-9	-20	-69
	AXASA 1 1/8 05/15/28	Insurance	A1	2.81	-1	-7	-12
	BPCEGP 1 10/05/28	Banking	A1	2.97	10	-1	-11
	FRPTT 0 3/8 09/17/27	Transportation	A2	2.82	12	3	-17
	AIFP 1 1/4 06/13/28	Basic Industry	A2	2.94	11	6	-15
3-5y	ENXFP 0 3/4 05/17/31	Financial Services	A3	3.11	4	-17	-31
	AIRFP 2 1/8 10/29/29	Capital Goods	A2	3.12	16	2	+5
	AIFP 1 3/8 04/02/30	Basic Industry	A2	3.15	17	4	-28
	AXASA 3 3/4 10/12/30	Insurance	A1	3.23	19	5	-4
	TTEFP 1 3/8 10/04/29	Energy	A1	3.18	23	9	+6
5-7y	AIFP 0 3/8 09/20/33	Basic Industry	A2	3.52	25	-5	-10
	AIRFP 2 3/8 04/07/32	Capital Goods	A2	3.42	26	1	+7
	AXASA 3 5/8 01/10/33	Insurance	A1	3.51	28	3	-15
	SOCGEN 4 1/4 11/16/32	Banking	A2	3.54	34	4	-21
	LRFP 1 7/8 07/06/32	Capital Goods	A3	3.48	30	5	-18
7-10y	SUFP 3 3/8 09/03/36	Capital Goods	A2	3.80	31	-11	-11
	AIFP 3 1/2 03/21/35	Basic Industry	A2	3.70	33	-4	-9
	AXASA 3 3/8 05/31/34	Insurance	A1	3.61	29	-4	-10
	MLFP 3 3/8 05/16/36	Automotive	A2	3.86	39	-1	-9
	BPCEGP 3 7/8 01/25/36	Banking	A1	3.88	45	2	-25
10-15y	AIRFP 2 3/8 06/09/40	Capital Goods	A2	4.08	32	-11	-10
	ENFP 3 1/4 06/30/37	Basic Industry	A3	3.86	30	-11	-24
	MLFP 0 5/8 11/02/40	Automotive	A2	4.12	30	-10	-12
	AIFP 3 1/2 11/05/37	Basic Industry	A2	3.91	32	-9	-13
	SUFP 3.624 09/02/37	Capital Goods	A2	3.91	33	-7	-9
15y+	RTEFRA 1 1/8 09/09/49	Utility	A2	4.53	44	4	-25
	SNCF 1 01/19/61	Transportation	A1	4.98	33	19	-13
	TTEFP 3.852 03/03/45	Energy	A1	4.59	68	22	-21
	ENFP 5 3/8 06/30/42	Basic Industry	A3	4.56	77	25	-17

Source: Bloomberg, IHS Markit, Morgan Stanley Research

FX Strategy: EUR Risk Premium to Rise

David Adams

We think the French presidential election will lead investors to add EUR-negative risk premium to the currency as they hedge for greater uncertainty around both the French fiscal outlook and the prospect for further European integration.

The confluence of additional risk premium as well as markets pricing in deeper ECB cuts into 2027 should see the EUR turn from a leader in 2025 to a laggard into 2027, and perhaps return as FX investors' funding currency of choice.

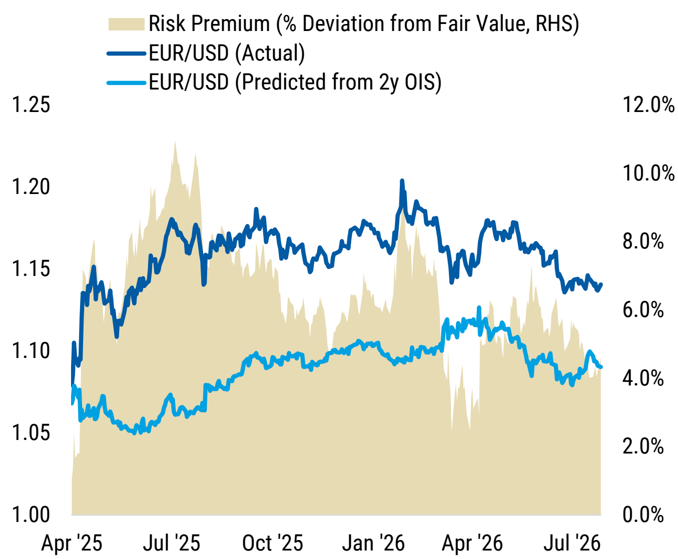
Our forecasts for EUR/USD have assumed a limited window for USD weakness to support the currency; once we approach 4Q of this year, we think investors will be adding negative risk premium ahead of the presidential elections. We think 2027 events may be too soon for markets to price a year ahead, but as we approach November and December of this year, when investors begin to think more actively about 2027 allocations, we think the election risk will play a key role in informing views and positions.

Risk premium has played a key role in explaining EUR/USD's moves since 2025. Exhibit 58 shows EUR/USD's relationship to the 'fair value' implied by rate differentials using data prior to 'Liberation Day'; this discount, in our view, is a proxy for the risk premia markets assign to currencies.

In 2025 and much of 2026, EUR traded at a premium to rate differentials because of the USD. But we expect this figure to trade closer to balanced as we approach the presidential elections. We expect this increase in EUR-negative risk premium to be fairly broad based.

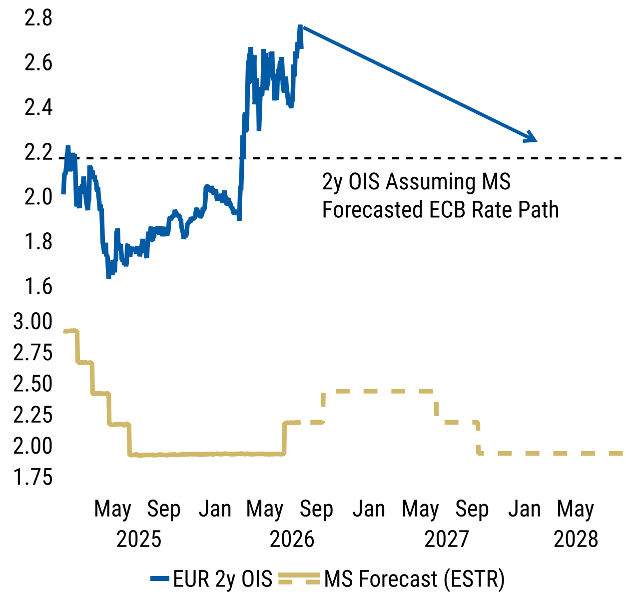
We think the risk is that, as risk premium in the EUR is rising, rate differentials may also begin to move against the EUR as well. Our economists forecast the ECB will hike an additional time at the September meeting followed by two cuts next year, contrasting with market pricing on both the amount of hikes and the 2027 rate path (Exhibit 59).

Exhibit 58: EUR/USD's performance in the past 18 months has largely been explained by risk premium



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 59: Markets fully pricing our economists' ECB forecast implies a 2y ESTR OIS level of about 2.15%



Source: Macrobond, Morgan Stanley Research forecast

We think there is capacity for European rates to begin pricing closer and closer to this 'fair value'. Precisely when and in what magnitude rate differentials will shift is hard to say this far in advance, but we do think clearer evidence (and perhaps guidance) from the ECB that the end of the hiking cycle has been delivered could be an important catalyst.

With 2y OIS in Europe pricing a path almost 50bp above the 'fair value' implied by our European economists' forecasts, this suggests (assuming no change in US rates) a potential compression in EUR/USD by 3-4% using historical relationships to rate differentials. If we add on additional risk premium in EUR as well, this suggests EUR's underperformance could be even more substantial.

We think these combined factors, alongside a rebound in the USD overall, should see EUR/USD fall about 7% from 4Q26 to the end of 2027. After what we think is a plausible and probable path to finite USD weakness this summer, the turnaround on both the USD and EUR legs could be more meaningful than investors think. For USD-buying hedgers, the forward levels implied in EUR/USD by the autumn could prove attractive USD buying/ EUR-selling opportunities.

How to hedge for these risks? A basket of EUR/CHF and EUR/SEK shorts hedge for political risk premium and rate compression. EUR/USD has been driven more by the USD leg than the EUR leg of late. For investors seeking to hedge one or both of these risks (risk premium in the EUR and falling European rates), we think EUR/SEK and EUR/ CHF shorts could both prove helpful here.

EUR/CHF, we think, is probably the best 'pure' hedge for risk premium. CHF's safe haven status renders it an attractive place for defensive-oriented FX investors in Europe. We also think investors are likely underestimating the SNB's tolerance for currency strength. While the position is negative-carrying, we think a catalyst like French election risks could prove sufficient to trigger CHF-positive demand.

Meanwhile, we think EUR/SEK is also an attractive expression. We have been recommending EUR/SEK shorts reflecting SEK's attractiveness for medium-term global macro reasons. But we also think EUR/SEK should remain sensitive to rate differentials and, with markets having already priced our forecasted 2% Riksbank terminal rate, a dovish re-pricing in European rates lower should further support a decline in the pair. We think more EUR-negative risk premium could also be helpful at the margin.

We think a combined 'basket' of both long SEK and CHF versus EUR allows investors to hedge both the political risk and interest rate risk in Europe. But because CHF and SEK have historically tended to have inverse sensitivities to risk appetite and energy, this allows investors to avoid being too impacted by these often-critical factors. Moreover, SEK's higher carry helps to minimise (though, admittedly, doesn't fully offset) the negative carry of holding the position.

The key risk to the positions are that the EUR strengthens. A lack of additional election risk premium and higher European rates are both key risks here that we will be watching closely.

- **Trade idea: Maintain short EUR/CHF at 0.93 with a target of 0.87 and a stop of 0.94**
- **Trade idea: Maintain short EUR/SEK at 11.05 with a target of 10.40 and a stop of 11.20**

Banks: Political Risk to Keep Cost of Equity Elevated

Giulia Aurora Miotto, Ned Tidmarsh

As we have written before here, French politics is a key topic for French banks: while there is some minor earnings risk from corporate tax charges (~5% for Crédit Agricole, which derives ~40% of PBT from France, and 1-3% for BNP and SocGen, which derive about 10% of PBT from there), and some potential impact from taxes on dividends and buybacks, should these come back on the table, the real impact would come via a higher cost of equity stemming from deteriorating macro, greater uncertainty and potential higher sovereign funding costs, which investors assume translate into banks' funding. Yet despite volatility, strong idiosyncratic stories can still outperform, as we have seen in 2025 for SocGen and YTD for BNP. We stick to SocGen as our preferred French Bank (but not Top Pick), but we also see upside for BNP, whereas Crédit Agricole is our least preferred.

What happened previously? When President Macron called snap parliamentary elections in June 2024, French banks fell by more than 10% in a week. As we argued at the time, the move was not driven by a meaningful deterioration in fundamentals, but by a higher cost of equity as investors priced in greater political and fiscal uncertainty. The sell-off ultimately proved to be a buying opportunity. A similar reaction came about when PM Bayrou called a vote of confidence in August 2025 (see here). More recently, in October 2025, PM Lecornu's resignation triggered an initial 4-5% decline in French banks. We have also seen volatility this July when the Le Pen ruling was announced (French banks were down 4-8% in early July as a result), and questions from investors suggest the topic is coming back to the fore – with focus on whether volatility could offer buying opportunities or whether it is time to sell/take profits before further uncertainty.

Our preferred play*: SocGen > BNP > Crédit Agricole*

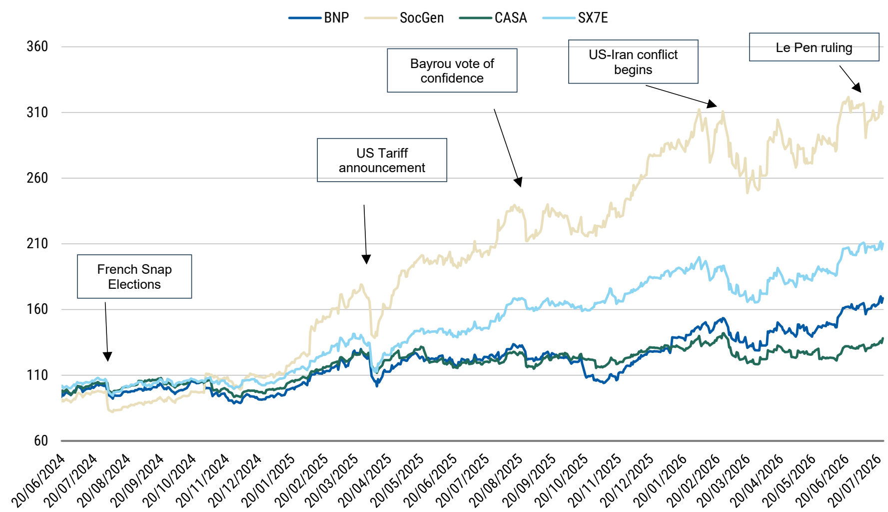
We have no French banks among our European Banks Top Picks (which are Barclays, Deutsche Bank, UniCredit, Santander, OTP), because we think they are vulnerable to volatility going into the budget / presidential elections. However, we have written before (here, for example) that we see most upside at SocGen, we also see a good story emerging at BNP, while Crédit Agricole is our least preferred given poor earnings momentum and complexity, partly related to the Italian M&A situation.

SocGen remains our only Overweight in France. We view SocGen as a strong restructuring story; we forecast a >10% ROTE in 2026, heading to 13% by 2028. We are 5% ahead of consensus by 2028, driven by better costs – we think this will be a key topic for the CMD on 21st September. French political uncertainty, as discussed in this note, wider global macro uncertainty, and a mixed track record of delivery are the key risks. We published a deep dive on the name earlier this year here: What's next?

BNP remains Equal-weight. At 0.95x P/2027 TNAV, and 7.5x 2027e P/E, BNP looks cheap on our estimates, and we recently increased our earnings forecasts and, in particular, payout estimate to 75%, which leads to one of the highest yields in the sector (at 10.5% in 2028, see here). Yet we remain selective with a preference for SocGen.

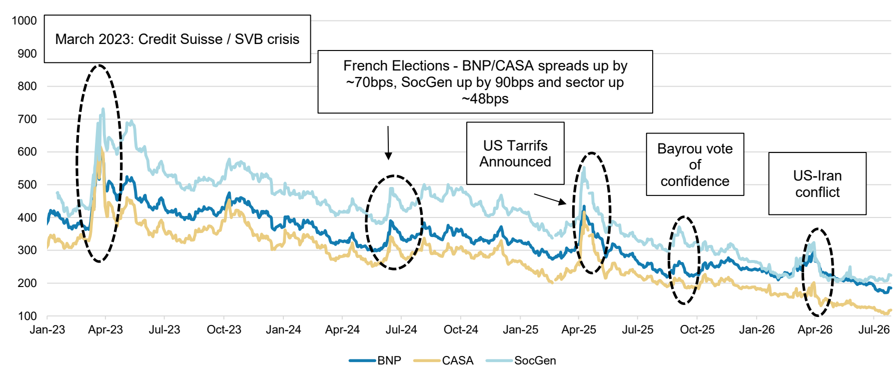
CASA also remains Equal-weight. We view Crédit Agricole as a well run bank with a strong bancassurance strategy. The bank trades on 7.5x 2027 earnings, on our estimates, which is a discount to the sector, yet ongoing uncertainty on M&A in Italy, a complex perimeter (especially with respect to several JVs in SFS), and a lack of catalysts make it less appealing, in our view, than BNP and SocGen. Putting it together, this is our least preferred French Bank, yet valuation keeps us Equal-weight rather than Underweight.

Exhibit 60: French banks performance can be subject to political headlines, yet strong idiosyncratic stories tend to perform irrespective of political noise: this was the case for SocGen in 2025, and BNP so far this year



Source: Datastream, Morgan Stanley Research. Note: Updated as of 24 July 2026.

Exhibit 61: AT1 spreads have continued to narrow since the US tariff shock



Source: Bloomberg, Morgan Stanley Research. Note: Benchmark spreads for SocGen / BNP / CASA AT1. Data as of 27 July 2026.

What are the key questions from investors? We flag below the key questions we have received from investors related to French political uncertainty:

- *What tangible impact could the wider OAT-Bund spread have on banks' funding costs*? OAT widening typically leads to banks' funding costs increasing, and our credit strategists are recommending buying protection on French banks as they expect a widening of credit spreads for French banks, yet we flag that banks were already done with 60-75% of their 2026 issuing plan as of 1Q26 results (Exhibit 64), and AT1 spreads remain tighter YTD on the back of strong bank fundamentals and improved profitability, and reflecting the broader tightening in the EUR credit market; hence the impact is likely to be limited, unless we see a significant widening that persists over years.

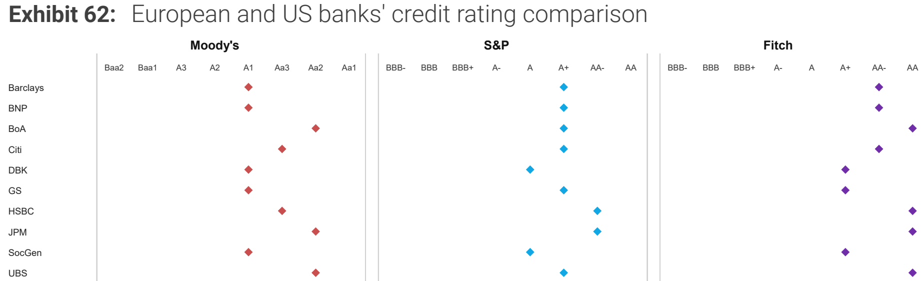
- *What impact do higher spreads have on bond portfolios*? Banks' holding of sovereign bonds is small as a percentage of total assets (Exhibit 65), and the majority of this exposure is at amortised cost, hence a movement in spreads would not affect capital or the P&L. The widening of sovereign yields, however, could have an impact on capital via Fair Value/Other Comprehensive Income (FV/OCI) bonds; for this reason, we think it would make more sense to look at the exposures to sovereign within OCI, yet amounts here are also limited, and we estimate that, all else being equal, a 25bps widening in the French sovereign would have a ~1bps impact on the capital of SocGen, BNP or CASA.

- *Has any coalition said anything specific on banks*? There have not been specific discussions about bank taxes recently; however, as we highlighted in June, there has been debate in recent years in France on tightening the framework around dividend trades. If this came back into focus, we could see an impact on equity derivative revenues for SocGen and BNP (Equities make up ~13% and 8% of Group revenues for SocGen and BNP, and we estimate equity derivatives comprise ~60% of Equities revenues for SocGen and ~45% for BNP, although dividend trades would be a fraction of this, but we do not have any disclosure on this specifically). Aside from this, banks are of course impacted by the surcharge tax, and could be impacted by an exceptional tax on dividends or buybacks (as we saw, for example, when the proposal was tabled, the night before SocGen results in 3Q25, here), which prompted the shares to sell off 7% intra-day, albeit the move was reversed when the proposal was later scrapped.

- *How does a weak macro translate in our forecasts*? A weak macro backdrop translates into slower loan and deposit growth (as we have already seen this year, with France showing some of the worst balance sheet dynamics across Europe, see here), though this has not stopped some positive earnings revisions for French banks YTD, as these poor balance sheet trends have been more than offset by improving margins in French retail and/or strong CIB revenues. We expect the improvement in French retail profitability to continue, driven by margin expansion rather than by volumes.

- *What if France is downgraded? Would RWA density change*? OATs would still be risk-weighted at 0%, and there could be a marginal impact on corporate ratings (which usually are not higher than the sovereign). RWA density will increase if and when asset quality deteriorates: the EBA risk dashboard suggests only mild deterioration for asset quality in France, even as bankruptcies have been rising over the past 18 months.

Exhibit 62: European and US banks' credit rating comparison



Source: Morgan Stanley Research, Moody's, S&P and Fitch ratings from banks' disclosure and agencies' releases, for operating companies / counterparty risk. Note;: Fitch ratings reflect changes to methodology made in May 2026.

- *Could French banks be downgraded if France is downgraded, and what would be the impact for the business?* Our credit strategist Aron Becker answers this question in his section above, highlighting that all three banks are at risk of downgrade. On our side, we are particularly focused on investment banks' credit ratings for their Fixed Income counterparty business: too low a rating may prompt some counterparties to reduce the lines, and this could impact Fixed Income revenues, although rating agencies are not very clear whether a downgrade of the senior unsecured rating would automatically prompt a downgrade in the counterparty risk rating (Fixed Income makes up ~9% of SocGen's revenues, 10% for CASA, and 11% for BNP).

- *How do you translate uncertainty into share prices*? Given relatively modest fundamental impacts, we think the main share price move will continue to be driven by higher cost of equity – we see a ~5% impact to price for any 50bps wider CoE.

- *When to buy*? As highlighted by Jean-Francois Ouvrard above, uncertainty appears here to stay in France, so volatility may remain elevated for French banks for a while. We think, however, that SocGen has a strong and compelling idiosyncratic story, predicated on (1) upside to consensus numbers from better cost delivery (we are 4-5% ahead on 2027/28 profits); (2) September's CMD as a potential catalyst; and (3) still a relatively cheap valuation, at 0.97x P/2027 TNAV for ~13% ROTE in 2028, and hence we would buy the dip in aggressive sell-offs. Given political uncertainty though, we remain selective, and SocGen is our only Overweight in France.

- *What are the implications for Europe?* While a slow-moving theme (see the latest development here), closer convergence in European Capital Markets and the potential of a revamp of Banking Union are themes that have supported sentiment on European Banks. Some parties have appeared to express have an anti-European stance in the past, in particular the RN. Specifically on Capital Markets / Banking Union, the prior FN/RN position was broadly anti-Banking Union and anti-centralisation (see here); but the most recent (2025) position accepts that deeper European capital markets can be useful, particularly for financing companies and strengthening European financial autonomy; but the RN still opposes transferring major supervisory powers from national authorities to EU bodies. Hence we think an RN win could weaken an already difficult path towards Banking Union and Capital Markets integration in Europe.

Exhibit 63: French exposure by revenue and PBT in FY25

	FY25 French Rev %	FY25 French PBT %	FY20-25 Av. French Rev %	FY20-25 Av. French PBT %
BNP	26%	10%	28%	7%
CASA	46%	37%	48%	38%
SocGen	44%	13%	44%	Negative

Source: Company data, Morgan Stanley Research

Exhibit 64: French bank bond issuance as of 1Q26

Bank	2026 Programme Issued (€bn)	FY26 Programme (€bn)	Bank-Reported % Complete
BNP	10.5	14	*75%*
CASA	11.6	18	*64%*
SocGen	9	15	*60%*

Source: Company data, Morgan Stanley Research

Exhibit 65: Total French sovereign exposure (banking and trading books)

	Total French sovereign exposure	o/w held at amortized cost	as a % of total assets	French Sovereign as a % of CET1
BNP	19,818	15,680	0.7%	20%
CASA	21,665	12,986	0.9%	44%
SocGen	11,600	6,800	0.8%	22%

Source: Company data, December 2025, Morgan Stanley Research. We have removed the deposits centralised at the CDC in France for Societe Generale to allow for comparison

Exhibit 66: What is the impact for 25bps widening via OCI?

	Total Bonds through OCI	% of total assets	o/w France sovereign via OCI	Capital impact from widening of ~25bps
BNP	50,568	1.8%	4,134	-0.006%
CASA	10,607	0.4%	2,292	-0.005%
SocGen	39,100	2.5%	2,300	-0.004%

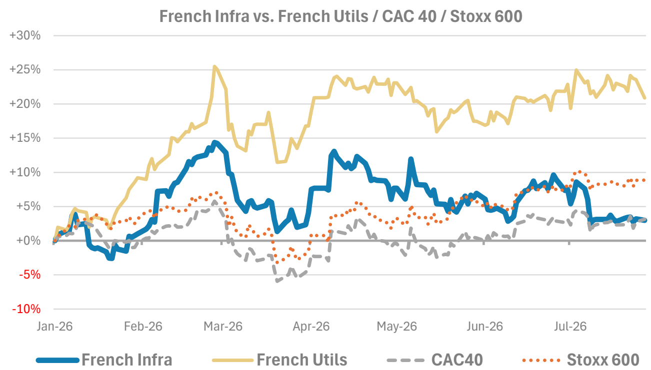
Source: Company data, Morgan Stanley Research, as of December 2025. Average duration calculated from 2Q25 EBA Transparency inputs.

Infrastructure: Challenging Backdrop; Looking for Idiosyncratic Narratives

Nicolas Mora

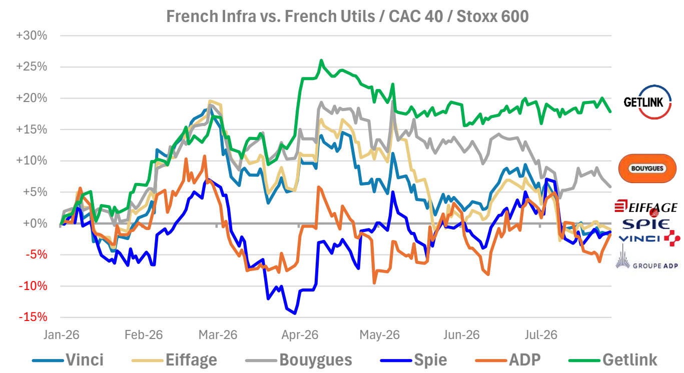
French Infrastructure stocks have had a challenging first part of the year, with initial outperformance post solid FY25 results / favourable yield set-up (into a rate-cut cycle) / HALO asset appeal waning into Spring/early Summer 2026 (negative earnings momentum; Middle East conflict; higher yield set-up; pockets of weakness in French construction/services).

Exhibit 67: French Infrastructure vs. French Utilities / CAC40 / Stoxx 600 - Stock/index performance YTD



Source: Bloomberg, Morgan Stanley Research

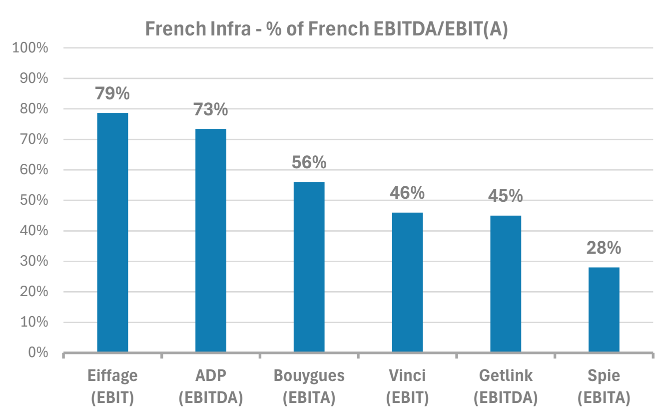
Exhibit 68: French Infrastructure - Stock performance YTD (index: 100 on 1-Jan)



Source: Bloomberg, Morgan Stanley Research

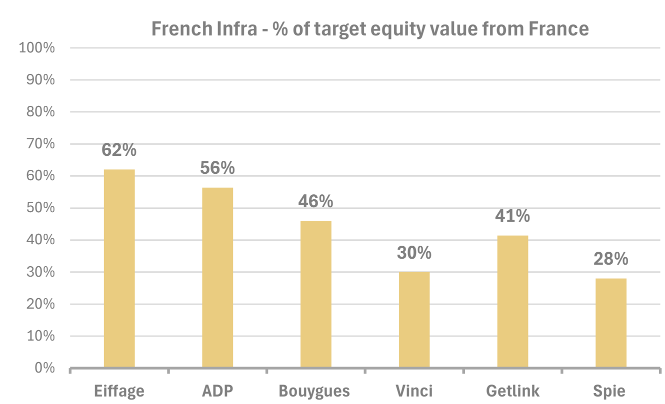
For now, we do not expect these headwinds to abate, with budget talks in the Fall possibly setting stocks on course for a new round of consensus downgrades (consensus still has to reflect the risk of a new year of corporate tax surcharge). As such, French Infrastructure stocks with a substantial French earnings / valuation exposure are likely to remain under pressure, despite that exposure having been actively diluted over the past 2 years (M&A at Eiffage / Bouygues / Vinci / Spie; decline in carrying value of French motorways at Vinci / Eiffage; revaluation of Indian associate GMR at ADP).

Exhibit 69: French Infrastructure - % of 2026e EBITDA/EBIT from France



Source: e = Morgan Stanley Research estimates

Exhibit 70: French Infrastructure - % of target equity value from France



Source: e = Morgan Stanley Research estimates

From here, we would monitor the following items as a prime risk to earnings/valuation:

- **Another year of French corporate tax rate surcharge**: While we have already reflected this tax in our earnings forecasts for 2027 in our direct coverage (Vinci, Eiffage, Bouygues, ADP - this does not apply to Getlink with its French revenues way below the minimum €3bn threshold), this carries a substantial risk of downgrades vs. consensus expectations. As a reminder, we forecast this surcharge has a -8/-8/-9/-12% impact on 2027e base earnings for Bouygues / Vinci / ADP / Eiffage respectively.
- **Another attempt at hiking the French Long-Distance Infrastructure tax (TEILD in French)?** The review of the 2026 draft budget has prompted a few parliamentary proposals to increase the current *TEILD* rate of 4.6%, with suggestions of 7% and 10%. The *TEILD* currently applies to French motorways/ airports assets with >€120m revenues (Vinci's ASF/Escota/Cofiroute + Lyon airport; Eiffage's APRR/AREA and Toulouse airport; ADP's Paris Airports). At the current 4.6% rate (non tax-deductible), the *TEILD* costs ~€290-300m / -5.5% of Vinci's 2026e NI, ~€68m post-minorities / ~-6% of Eiffage's 2026e NI, -€135m / -16% of ADP's 2026e NI (although ~75% of the tax has been offset by regulated tariffs hikes over 2024/25). From here, an increase in the *TEILD* tax would be a genuine surprise: this tax remains challenged in front of the administrative courts, and the industry sees this legal process as a *relative* protection against any unilateral attempt by the State to increase the tax (increasing a tax that runs the risk of being reversed retroactively in the late 2020's would be extremely costly for the State). Moreover, the *TEILD* was initially approved by the State Council in 2024 on the basis that – at the 4.6% rate – it was a commensurate compensation for benefits accruing to motorway operators following the reduction in the French corporate tax rate from 34.3% in 2018 to 25.8% in 2022. If set at a substantially higher rate (7% / 10%), combined with the increase in the effective corporate tax rate for large taxpayers to 36.1% since 2025, the NPV offset argument has a much looser basis.
- **Fate of motorway concessions' retender**: There is now a consensus within the industry that the French State will let the major French motorway concessions (Vinci's Escota / Cofiroute / ASF; Eiffage's APRR / AREA; Abertis' Sanef/ sapn) run until their official expiry (starting with Sanef on 31 December 2031 / Escota on 29 February 2032 / sapn on 31 August 2033 / Cofiroute on 30 June 2034 / APRR on 30 November 2035 / ASF on 30 April 2036 / AREA on 30 September 2036). There is also a consensual view that these assets will be retendered, although this could take multiple forms (similar concession size to multiple/smaller packages to foster some competitive tension in the bidding phase; from low-value O&M contracts to all-in 20+ year concessions; regulatory frameworks from unchanged CPI-driven tariffs-setting to a RAB-based regulation with a preset WACC and regular reviews; etc). The fate of these assets will have to be decided by the new President / Government coming out of the 2027 Presidential / Legislative elections, with the need to set the framework of a retender over 2028-29 and launch the actual tender in 2030-31 starting with Sanef. Whilst the market does not grant any option value to Vinci / Eiffage for the actual retender/win of these assets, a clearer path to either no retender or a challenging competitive process leaving no room for value-enhancing retenders would harm stocks and raise the perceived reinvestment risk.

- Whilst the focus is on the 2027 budget discussions in the Fall of 2026 and Presidential / Legislative elections in Spring 2027, we continue to monitor **short-term business headwinds** in French construction (esp. French road maintenance market post the Mar-26 municipal elections kicking off a new cycle of leadership at the local level and a typical lull in new investments) and French multi-technical services (cautious spending trends at the local authorities level, on budget constraints and the municipal election cycle / public clients make up ~20% of Vinci Energies France revenues and ~24% of Eiffage Energy Systems France).

Overall, we maintain a cautious approach to the French Infrastructure names, favouring idiosyncratic stories like **ADP** (OW - regulatory play with the potential for a powerful de-risking event in late 2026 with the approval of a new multi-year regulatory framework + pivot into 2027e benefiting from an easy traffic/retail comps base and stronger earnings power via substantial cost containment efforts since Spring 2025) and **Spie** (covered by Rémi Grenu - OW: mega-trends of the energy/digital transitions supporting MSD organic growth + margin expansion upside pricing/positive mix/M&A + M&A/bolt-ons, a key component of the growth algo) or stocks offering deep-value buffers like **Eiffage** (OW - high French exposure, which continues to be diluted via accelerated M&A/value erosion at APRR; margin expansion potential at Eiffage Energy Systems; deep-value offering with Eiffage trading on 10.9/10.2x 2026/27e P/E, 12.5/12.8% holdco. FCFE yield, 37% implied equity IRR for Eiffage Concessions stripping out the Contracting arm on 8.0x 2026e EV/EBIT, a ~22% discount to listed peers to account for holdco structure / French tax/political backdrop / reinvestment risk).

Luxury: Political risk could sustain the tax surcharge

Natasha Bonnet, Edouard Aubin

LVMH, Hermès, Kering and Richemont are exposed to any changes to corporate tax rates for large companies in France. While their sales exposure to France is limited (<10% for all), taxation is based on where the economic value creation is produced – thus skewed to where goods production takes place (Hermès discloses that 74% of its products are manufactured in France, and around ~50% for LVMH, ~35% for Richemont and ~15% for Kering, on our estimates).

As a reminder, in 2025 the French government implemented a corporate income tax surcharge of 20% (that is, tax rate going to 30% from 25%) for companies with revenues of €1-3bn in France (this includes Kering), and a surcharge of 41% (tax rate going to 35.25% from 25%) for those with revenues above €3bn in France (includes LVMH, Hermès and Richemont; note we include inter-company sales when estimating total sales generated in France).

We have previously flagged that, while the surcharge was initially planned as a one-off for 2025 (see here), there was a parallel to 2011 when there was a similar temporary tax hike for corporates in France that ended up lasting until 2016.

We believe the political and fiscal challenges France faces may cement the tax surcharge. We adjusted our tax rate assumption for LVMH yesterday evening (here) and adjust the tax rate for Hermès. We now model the same effective tax rate as 2025 (when the recent corporate tax surcharge was implemented) for the outer years in our model for both companies.

Overall, we believe the market may be underestimating the EPS impact on LVMH and Hermès (~6% EPS downside) from a sustained tax surcharge. Exhibit 71 shows that current Visible Alpha consensus does not incorporate the French tax surcharge post 2026 for LVMH or Hermès. Should the corporate tax surcharge be cemented for longer (as is now our base case), we see ~5-6% EPS downside to consensus on LVMH and Hermès from the tax rate change alone.

- We note that **LVMH** paid €5.5bn in taxes in 2025, of which roughly half in France, according to the company. We estimate the French tax surcharge amounted to close to €700m in that year.
- The CFO of **Hermès** (whose tax bill was €2.3bn in 2025, of which around half paid in France) observed that the tax surcharge in 2025 amounted to ~€330m, saying that it was "equivalent to a 5% increase [in the company's tax rate] in 2025" and that "we hope that it just happens for a couple of years, but maybe this exceptional tax will be a feature in years to come".
- At **Richemont**, while we estimate ~35% of its production takes places in France, Cartier's headquarters are based in Geneva (not Paris), so we assume the majority of its profits are generated in Switzerland (under international tax principles, profits are allocated according to where strategic decision-making, brand stewardship, pricing architecture and intellectual property oversight are located). Therefore, we assume that only ~5% of its profits are exposed to French taxation and thus the surcharge impact was not meaningful in the last financial year. We

estimate Richemont's tax rate going forward should be in line with its FY26 (year to March 2026) effective rate of 20.4% (note that the dip in tax rate in FY25, to 16.5%, was due to non-cash accounting factors).

- **Kering** manufactures about ~15% of its products in France, we estimate (with most of its brands manufactured in Italy), so we estimate its revenue in France (including inter-company sales) is less than €3bn. On that basis, we presume Kering would fall into the lower tax surcharge bracket. As a result of both these factors, the tax surcharge did not have a meaningful impact in 2025.

Exhibit 71: Effective tax rate for LVMH, Hermès and Richemont

Tax rate	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e
																	Tax surcharge implemented			
LVMH	30.7%	29.6%	31.8%	30.8%	27.1%	33.0%	32.6%	29.2%	26.3%	27.4%	32.7%	26.2%	26.7%	26.2%	28.5%	32.8%				
MSe																	*32.8%*	*32.8%*	*32.8%*	*32.8%*
VA css																	*32.1%*	*29.4%*	*29.0%*	*28.9%*
																	+74 bps	*+344 bps*	*+377 bps*	*+385 bps*
Hermes	33.7%	32.3%	31.7%	33.3%	33.2%	35.8%	33.7%	35.4%	32.5%	33.1%	30.9%	29.5%	28.2%	27.8%	28.7%	33.4%				
MSe																	*33.4%*	*33.4%*	*33.4%*	*33.4%*
VA css																	*33.4%*	*30.2%*	*29.4%*	*29.1%*
																	+5 bps	*+322 bps*	*+404 bps*	*+427 bps*
	FY-11	FY-12	FY-13	FY-14	FY-15	FY-16	FY-17	FY-18	FY-19	FY-20	FY-21	FY-22	FY-23	FY-24	FY-25	FY-26	FY-27	FY-28	FY-29	FY-30
Richemont	16.7%	14.6%	15.6%	16.5%	21.5%	17.9%	22.5%	25.5%	21.6%	22.6%	15.1%	17.2%	17.9%	18.1%	16.5%	20.4%				
MSe																	*20.4%*	*20.4%*	*20.4%*	*20.4%*
VA css																	*18.6%*	*18.5%*	*18.4%*	*17.9%*
																	+178 bps	*+190 bps*	*+199 bps*	*+253 bps*

Source: Visible Alpha, Company data, Morgan Stanley Research estimates (e). Note: Consensus as of 27 July 2026.

Utilities: Political Risk Could Impact Sentiment and Positioning

Arthur Sitbon

While the 2027 presidential elections may not bear significant fundamental risks for French utilities (except in the event of a RN or LFI absolute majority, which could be interpreted as opening the door towards more control on energy prices), the uncertainty surrounding their outcome may represent a headwind on sentiment and positioning from September/October to May next year.

We stay Overweight on Engie, given the imminent positive catalyst of the 1H26 results (see Utilities: 2026 Half Time for Utilities) and the group's ongoing transformation story supporting further room for re-rating. We keep our preference for Engie over Veolia, given the presence of a positive catalyst together with the weaker recent share price performance, although we acknowledge that as we get closer to more precise and tangible idea debates amongst candidates ahead of the presidential elections, Engie shares may become more vulnerable than Veolia's owing to higher fundamental risk exposure to France.

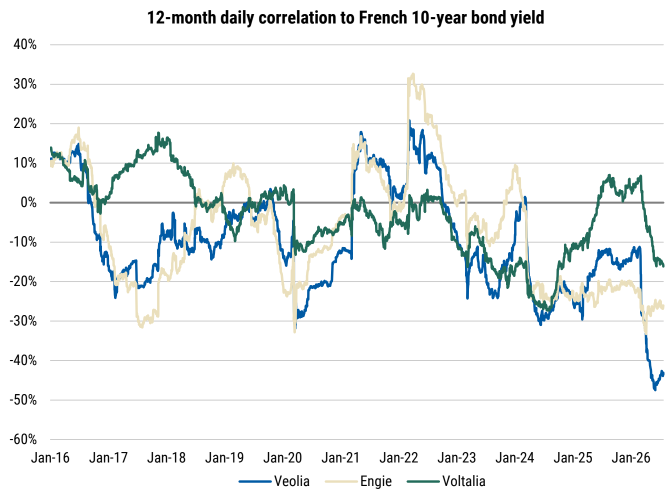
Sentiment and country risk may be higher for Veolia, but positioning risk looks higher for Engie

It is too soon to draw conclusions on a potential outcome from the presidential elections, but we think investors will start carefully analysing the situation and take it into account in their investment decision-making as 1) discussions in the autumn around the 2027 budget set the tone for the upcoming election manifestos and debates, and 2) the list of candidates (and their manifestos) firms up.

In the charts below, we show that Veolia and Engie have been trading with a relatively high level of correlation to French equity index CAC40 and negative correlation to the 10-year French bond yield in the previous years. The correlation to CAC40 and negative correlation to the French bond yields is the highest at Veolia in the Utilities space (despite lower earnings exposure than Engie to France), with Engie's performance having diverged as the group diversified its exposure and executed strongly on its transformation plan.

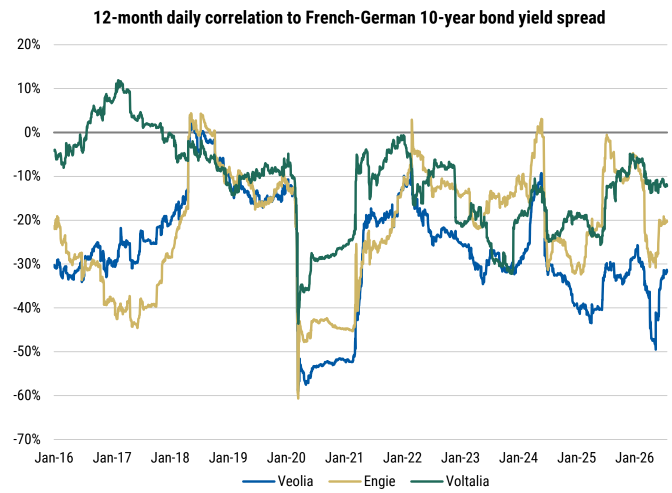
Overall, we believe equities' sensitivity to the next 9-12 months of political news flow in France will also depend on positioning, as investors may seek to reduce their exposure to French equities ahead of elections. Amongst utilities, we see heavier positioning on Engie than Veolia and Voltalia – see Utilities: Market Positioning in Utilities: 1Q26 Edition.

Exhibit 72: Veolia has the most negative correlation to French bond yields among French utilities



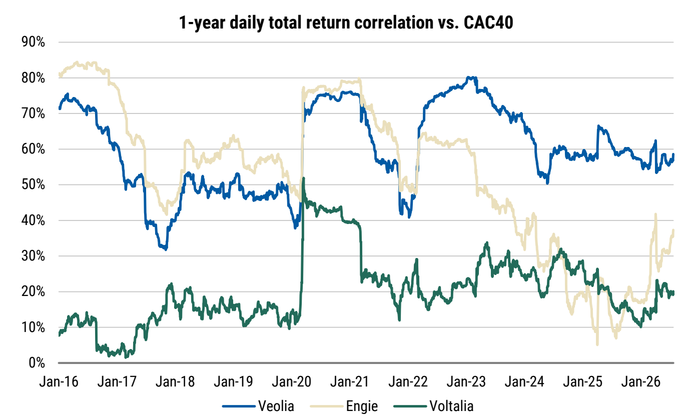
Source: Datastream, Morgan Stanley Research

Exhibit 73: The same applies to the French-German 10-year bond yield spread



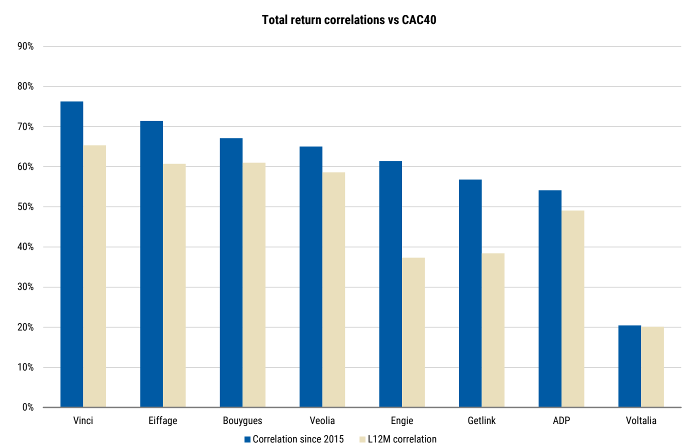
Source: Datastream, Morgan Stanley Research

Exhibit 74: Veolia is also the name with the highest correlation with the CAC40 index...



Source: Datastream, Morgan Stanley Research

Exhibit 75: ...although it is not as high as some of the French infrastructure names



Source: Datastream, Morgan Stanley Research

Fundamental risks are highest for Engie and Voltalia, lowest for Veolia

We think the presidential elections may not present unmanageable fundamental risks for French utilities, although we acknowledge the risks may be higher for Engie and Voltalia than for Veolia.

First, we look at the various key topics tied to French politics that could be discussed and the possible impact on French utilities as part of the 2027 budgetary discussions.

- **A potential corporate tax surcharge extension.** This is one of the most plausible measures that could impact Engie and Veolia in 2027, in our view. The corporate tax surcharge was initially devised as a one-year exception for 2025, but given the meaningful proceeds it represents, it was extended by a year to 2026. We believe that a further one-year extension to 2027 should not be ruled out at this stage and could be part of the discussions on the 2027 budget. We take a further one-year extension into account in our base case for both Veolia and Engie. We estimate a limited impact on earnings from a potential extension (~2% of 2027 net income for Engie, ~1% for Veolia), and believe such an extension is already – at least partly – priced into the shares. We also think the two groups' financial targets/consensus expectations would not be put at risk by such an extension.

- **Further government intervention in power and/or gas markets.** This remains a potential risk given the recent increase in power prices in France, although we would argue that the VNU (*Versement Nucléaire Universel*) system that has been put in place in 2026 to replace the ARENH already has the potential to tax nuclear revenues when prices are high (they are not high enough to be taxed at the moment). We note that opposition parties had proposed several measures to tax the energy sector more heavily as part of the 2026 budget (although none of these was adopted) so we would not rule out the possibility of future government intervention in the energy sector.
- **A potential sale of government-owned stakes?** While this solution was not used last year or the year before, in 2024, some MPs (see here) had flagged that selling government stakes could help raise proceeds and avoid the implementation of tax increases. We note that Engie is currently 23.64% owned by the French State.

When it comes to the presidential elections, we think the main fundamental risks will be on the energy sector, rather than on the water & waste sector.

First key debate – risk of less funding and growth for renewables post 2027 elections? We have observed a gradual shift towards a less supportive stance on renewables in France, especially on the political right. LR Senator Daniel Grémillet proposed a moratorium on new wind & solar projects last year, which was rejected by the National Assembly. President of the LR party Bruno Retailleau wrote a column in *Le Figaro* (here) calling for the end of public subsidies for wind & solar power. In addition, *GreenUnivers* recently reported (here, unconfirmed) that the RN may prepare a new draft law including a moratorium on wind & solar and an end to new subsidies for renewables. If political power were to shift to the right as part of the presidential elections, such measures might in theory have more chance of materialising. A reduction in subsidies previously granted to operational projects might be difficult to implement, and we think the main risk of such a measure would be potentially to limit growth opportunities for renewable developers in France. We assume the impact of such a measure would be limited to Engie, given its strong business geographical diversification. We note that France has also been representing a less meaningful share of capacity additions for renewables pure play Voltalia. We see this risk materialising mainly in the scenario of an election leading to a President and an absolute majority for RN and/or LR parties.

Second key debate – towards more control on energy prices? The *GreenUnivers* article also suggested that the RN might include the implementation of a national regulated price of electricity and changes to the merit order price mechanism as part of its draft law proposal for the energy sector. Generally speaking, based on previous energy proposals and the fact that they voted in favour of a power generation margin cap proposed by LFI in the 2026 budget discussions, both the RN and LFI appear in favour of further energy price control. If these parties were to gain a majority post 2027, we think it might be harder for French utilities to capture upside from higher power and gas prices. This could be a risk for Engie, potentially on its French nuclear, CCGT and renewables revenues, as well as its retail exposure, although we would argue that 1) the bulk of its exposure to France lies in gas networks, which are regulated by independent regulator CRE and are thus unlikely to be subject to major fundamental impacts; and 2) Engie's exposure to power prices in France has come down with the implementation of a revenue tax on a majority of its French hydro revenues a few years ago. It is also unclear whether some of the energy price control measures that the RN or LFI may seek to implement would be compatible with EU law and thus would be passed into French law.

Overall, we see no major fundamental risk for Veolia, given that a large part of its French revenue exposure (which in total is c.20%) is managed at a municipal level (water & waste municipal contracts). While the topic of public management of the water sector was brought up by the left-leaning alliance at the previous legislative elections in 2024, we do not expect it to form part of the 2027 budgetary discussions and doubt it will be a major topic for the presidential elections, as it is more of a municipal topic (and municipal elections were already held earlier in 2026). We see the main fundamental risk for Veolia as being linked to a potential increase in cost of debt if French bond yields rise, as well as potential lower electricity revenues from French incinerators if government intervention materialises.

Valuation Methodology and Risks

Below, please find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Currency and Foreign Exchange				
TRADE	**ENTRY LEVEL**	**ENTRY DATE**	**RATIONALE**	**RISKS**
Short EUR/SEK	10.8916	6/16/2026	A re-orientation among investors away from carry and commodities and toward cyclicality and growth should support SEK.	A rebound in energy prices weighs on Sweden's terms of trade and weakens expectations for global manufacturing, in turn weighing on SEK.
Short EUR/CHF	0.9155	9-Feb-26	Inflation differentials continue to bias EUR/CHF lower, and we expect the SNB to tolerate CHF appreciation absent a renewed downside inflation shock; intervention risk is skewed toward volatility smoothing rather than level defence near 0.92.	If core Swiss inflation re-approaches zero, or if the SNB explicitly signals a willingness to lean against CHF strength at current levels beyond volatility management.
Buy French Bank CDS vs. Sell iTraxx Senior Financials	~4bp	6-Jul-26	French fiscal and political risks are not fully reflected in French bank CDS relative to sovereign risk. Buy French bank protection vs. sell iTraxx Senior Financials.	French sovereign spreads may stabilise or broader financial CDS could widen more than French bank CDS.

Buy French Bank CDS vs. Sell iTraxx Senior Financials										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re-assess	Size of Trade or Unit/Notional
French Banks CDS	N/A	5Y	Buy French Bank CDS vs. Sell iTraxx Senior Financials	06-Jul-2026	~4bp					
iTraxx Senior Financials	ITRXESE Index	5Y	Buy French Bank CDS vs. Sell iTraxx Senior Financials	06-Jul-2026	~4bp					

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Buy/Long: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be positive over the relevant time period.

Sell/Short: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be negative over the relevant time period.

Selling protection or Buying Risk: The analyst expects that the price of protection against the event occurring will decrease over the relevant time period.

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Prices for stocks as of 27 July 2026: Barclays Bank 530.40p, BNP Paribas €107.58, Crédit Agricole S.A. €18.61, Deutsche Bank €30.98, ENGIE €27.00, Hermès International S.C.A. €1,659.00, Kering €242.85, LVMH Moet Hennessy Louis Vuitton SA €466.80, OTP Bank HUF 46,090, Richemont SA CHF 193.95, Santander €12.26, Société Générale €78.09, UniCredit S.p.A. €81.74, Veolia €36.05, Voltalia SA €6.86.

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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